EXHIBIT 1

DEVELOPMENT AGREEMENT

THIS DEVELOPMENT AGREEMENT is made and entered into May 7, 2003, by and between the Mapleton City Corporation, a Utah municipal corporation, hereinafter referred to as the "City", and Suburban Land Reserve, Inc., a Utah corporation, hereinafter referred to as the "Owner".

Recitals

A. Owner owns certain property consisting of approximately 245 acres in Mapleton, Utah (the "Development Property"), which is more fully described as:

See Exhibit "A" attached hereto and incorporated by this reference.

B. As part of the development of the Development Property, Owner has caused a portion of the Development Property to be zoned to be included in the Transferable Development Right Sending Overlay Zone as CE-1 (TDR-S) and desires to have the balance of the Development Property (the "Property") placed in the Transferable Development Right Receiving Overlay Zone as "A-2 (TDR-R) zone", in accordance with procedures provided in Title 18 of the Mapleton City Code, as amended, (the "Rezoning Request").

C. Owner has indicated a desire and intent to develop on the Property a high quality, single family, residential subdivision, which meets the development standards of the Mapleton City Subdivision and the Development Code (the "Projeet")

D. To assist City in its review of the Rezoning Request and to assure development of the Project in accordance with Owner's representations to City, Owner desires to enter into this Agreement which sets forth the process and standards whereby Owner may develop the Project.

E. As part of this agreement, the Owner agreed to certain conditions and restrictions related to the development of the Project as specifically set forth in this Agreement.

F. Acting pursuant to its authority under Utah Code Annotated, §§ 10-9-101, et seq., and after all required public notice and hearings, City, in the exercise of its legislative discretion, (i) has elected to process the proposed Project in a manner resulting in the negotiation, consideration and approval of this Development Agreement, and (ii) has concluded that the terms and conditions set forth herein serve a public purpose and promote the health, safety, prosperity, security, and general welfare of the inhabitants and taxpayers of City.

G. On August 26, 1997, City adopted a General Plan, pursuant to Utah Code Annotated §§ 10-9-301, et seq. A portion of the General Plan establishes development policies for the Property. Such development policies provide that the Property should be developed for residential uses, such as those allowed by the R1:10 zone.

H. On Aug. 8, 2002, after duly noticed public hearings, the Mapleton City Planning Commission recommended approval of Owner's application to rezone the Property.

I. On Oct 2, 2002, the City Council held a duly noticed public hearing to consider Owner's application to rezone the subject property and duly considered (i) comments from the public, the Owner, and city officials and (ii) recommendations of the General Plan regarding the Property.

on Oct. 2, 2002 TDR-S

J. On May 7, 2003, the City Council rezoned property owned by Owner located adjacent to the Property and designated same as having transferred certain development rights to the Property in accordance with applicable provisions of the ordinances of the City, and Owner consented to such rezoning in consideration of the such developments rights being available for use in the development of the Project as herein set forth.

K. To allow development of the Property for the benefit of Owner, to ensure City that the development of the Property will conform to applicable policies set forth in the General Plan, and address concerns of property owners in proximity to the Property, Owner and City desire to enter into this Agreement and are each willing to abide by the terms and conditions set forth herein.

L. Acting pursuant to its legislative authority under Utah Code Annotated §§ 10-9-102 and 10-9-401, et seq., and after (i) all required public notice and hearings and (ii) execution of this Agreement by Owner, the City Council of Mapleton City, in exercising its legislative discretion, has determined that entering into this Agreement furthers the purposes of the (i) Utah Municipal Land Development and Management Act, (ii) City's General Plan, and (iii) Chapter 17 and 18 of the Mapleton City Code (collectively, the "Public Purposes"). As a result of such determination, the City has elected to process the rezoning request and the subsequent development authorized thereunder in accordance with the provisions of this Agreement and has concluded that the terms and conditions set forth in this Agreement accomplish the Public Purposes referenced above and promote the health, safety, prosperity, security and general welfare of the inhabitants and taxpayers of the City.

Agreement:

Now, therefore, in consideration of the premises recited above and the terms and conditions set forth below, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, City and Owner hereby agree as follows:

1. Development. Development of the Property shall be subject to the terms and conditions of this Agreement. In the event City does not approve Owner's Rezoning Request this Agreement shall be null and void.

2. Zone Change and Permitted Uses. The upper portion of the Development Property, consisting of approximately 76 acres (the "Upper Open Space"), has been rezoned CE-1 (TDR-S) and such zoning change is final and not subject to appeal under the Mapleton City Code (the "City Code"). To be acceptable to Owner, the zoning classification on the Property which must be approved shall be the A-2 (TDR-R) Zone, such that the Property shall be the recipient of the density transferred from the Upper Open Space property. The uses permitted on the Property shall be governed by applicable provisions of the Mapleton City Code, including specifically, but without limitation, Titles 17 and 18 thereof; provided, however, that Owner is entering to this Agreement in

reliance upon the fact that (i) uses permitted on the Property shall not be more restrictive than exists as provided in Titles 17 and 18 as same are adopted as of the date of the effective date of this Agreement, and (ii) the Project may be approved based upon the provisions of applicable provisions of the Mapleton City Code, including Titles 17 and 18, which are adopted as of the date Owner seeks approval of "Final Plans" (as defined in Paragraph 11) for a particular phase of the Project. Owner agrees that the Upper Open Space property which has been rezoned to the CE-1 (TDR-S) shall be conveyed to the City and, therefore, density to be transferred shall be transferred on a 5:1 ratio. The parties have agreed that fifteen (15) units could have been built on the property designated herein as the Upper Open Space and, therefore, Owner shall be entitled to have seventy–five (75) density units transferred to the remainder of Owner Development Property which is designated herein at the "Property." Title to the Upper Open Space property shall be conveyed to the City concurrently with the recording of the subdivision plat for the first phase of the development of the Property.

3. Applicable Code Provisions. All provisions of the City Code as constituted on the effective date of this Agreement shall be applicable to the project proposed on the Property except as expressly modified by this Agreement. The parties acknowledge that in order to proceed with development of the Property, Owner shall comply with the requirements of this Agreement, Titles 17 and 18 of the City Code, and other requirements generally applicable to development in Mapleton City. In particular, and not by way of limitation, Owner shall conform to the requirements of Chapter 18, A-2 (TDR-R) one (1) Dwelling Unit per Acre Zone and the project plan/subdivision approval process therein.

4. Reserved Legislative Powers. Nothing in this Agreement shall limit the future exercise of the police powers of City in enacting zoning, subdivision, development, growth management, platting, environmental, open space, transportation and other land use plans, policies, ordinances and regulations after the date of this Agreement. Notwithstanding the retained power of City to enact such legislation under its police power, such legislation shall not modify Owner's rights as set forth herein unless facts and circumstances are present which meet the compelling, countervailing public interest exception to the vested rights doctrine as set forth in Western Land Equities, Inc. v. City of Logan, 617 P.2d 388 (Utah, 1988) or successor case law. Any such proposed change affecting Owner's rights shall be of general application to all development activity in the City. Unless City declares an emergency, Owner shall be entitled to prior written notice and an opportunity to be heard with respect to the proposed change and its applicability to the Project.

5. Approved Plan. Owner has named the development to be constructed on the Property as "The Preserve at Mapleton." The overall layout and configuration for the development of the Property shall be in conformance with the "Plan" for the Preserve at Mapleton prepared by G. Brown Design Inc. (the "Master Plan"), a copy of which is attached hereto as Exhibit B. It is understood that the Master Plan is a conceptual drawing of the placement of lots, streets and other improvements to be located upon the Property, but that the actual placement may vary based upon final plans and specifications intended to be used for actual construction improvements. Except as may be required in the preparation of such plans and specifications, the Master Plan shall not be modified without the express written consent of the planning staff of the City. Owner and the City have agreed upon key concepts upon which the development shall proceed and which are identified on the Master Plan.

5.1 Approved Lot Plan. Attached hereto as Exhibit C is a detailed plan for the size, configuration and placement of individual lots within the Project (the "Lot Plan"). Owner shall be permitted to make minor modifications to the Lot Plan; provided, however, that any change in the Lot Plan which shall decrease the size of any lot by more than ten percent (10%) shall required the approval of the City.

5.2 Design Elements. The Master Plan is designed to create a neighborhood that allows for a variety of housing types and life styles. There are two distinct life style choices incorporated in the Master Plan. One is the traditional single family lot with the traditional home and yard and the other is a active adult life style detached home where the exterior of the home and the yards are maintained. The single family lots have larger lots buffering the neighborhoods to the north and south and large open space buffers along the entire west side of the Property. The active adult life style homes have extensive and well-developed open space areas and amenities.

5.3 Natural Conditions. The Master Plan is respectful of the site and its natural surroundings. All of the sensitive lands are protected and incorporated into the Master Plan. Additional open space has been designated to allow for neighborhood parks and access to the upper bench areas. The area along the Mapleton Canal is left open and allows for walking trails and buffering of the residential areas. There is also open space linkage to the upper bench areas that provide for trail access and wildlife corridors to the lower canal trail system.

5.4 Environmental Conditions. Environmental hazards have been addressed in the Master Plan. Two debris-flow basins are place at the mouth of the two canyons on the upper bench will be designed for debris and water flow from existing natural drainages. All homes will be required to be setback fifty feet from any known faultlines.

5.5 Open Space. There are 76 acres in the CE-1 Zone that designated as permanent open space to be owned and controlled by the City. In addition, 28 plus acres of neighborhood open space and parks will exist in the housing section of the Project. The 10 acres of that open space that is a corridor along the Mapleton Canal includes the trail system and storm drain detention. This open space area will also be developed as a buffer from residences to the east. The corridor will be planted with native plant materials and enhanced with evergreen trees. An east-west open space corridor will provide linkage to the upper bench areas and provide for additional trails and wildlife corridors from the mountains to the east. Park areas designated on the Master Plan will be used for neighborhood activities and gatherings.

6. Approved Density. With the transfer of density completed by the zoning of the Property to the A-2 (TDR-R) Zone, the Owner has a vested right to develop a maximum of one hundred thirty-six (136) single family residential units on individual lots. Seventy (70) of such units shall be located in the interior of the Property as shown on the Master Plan and shall be constructed on smaller lots organized as a planned unit development to permit the common maintenance of landscaping and other commonly owned improvements constructed upon applicable portions of the Property. All development on the Property remains subject to City's right to review and approve plans, plats, design and all elements of such development in accordance with standard approval

procedures for approval of subdivisions applied to all subdivision development within the city of Mapleton. Said lots shall be a minimum of .64 acres in size, net of streets, roads and other dedications.

7. Design Guidelines. Improvements to be constructed upon the Property shall be designed in accordance with "Planning and Design Guidelines" for The Preserve at Mapleton (the "Design Guidelines"), a copy of which is attached hereto as Exhibit D.

8. Restrictive Covenants. The Project shall be subject to covenants. conditions and restrictions which shall provide that the design, construction and maintenance of the residences to be built within the Project shall comply with the Design Guidelines. Each phase of the Project shall be made subject to the restrictive covenants concurrently with the recording of the plat applicable to such phase. The restrictive covenants shall be subject to the review and approval of the Planning Commission prior to recording and as a condition to be satisfied prior to the recording of the plat and the issuance of any permit for the construction of any improvements within the Project.

9. Development Requirements. The development of the Project requires the parties to cooperate in the performance of certain duties and obligations as set forth herein.

9.1 Culinary Water. Water to the Project shall be provided by municipal water and delivered to the Project at rates applicable to other city residential water users. Owner shall be responsible for the payment of any and all costs and expenses which shall be incurred for the construction of a culinary water system within the Project including fees required to be incurred to hook into the City's water lines., including connections fees, if any, applicable to the commencement of service. A copy of the approved plan for the delivery of culinary water is attached hereto as Exhibit E. Upon completion, the culinary water system shall be dedicated to the City and the City shall undertake the operation and maintenance of same.

9.1.1 Water Agreement. By separate agreement, the City and an affiliate of Owner, (the "Owner Affiliate") intend to enter into a "Water Right Assignment and Credit Agreement" (the "Water Agreement") whereby Owner Affiliate has conveyed or intends to convey to the City, 140.72 acre feet of water ("Water Rights") in exchange for a "Water Right Credit." The Water Agreement shall provide that the Water Right Credit may be conveyed by Owner Affiliate to other parties for use in development of other projects in the City.

9.1.2 Credit to Owner. Subject to the completion of the conveyance of the Water Rights to the City and the assignment of either all or part of the Water Right Credit to Owner, Owner shall be permitted to use that portion of the Water Right Credit assigned by Owner Affiliate to Owner in the development of the Project. Such credit shall permit one (1) connection into the City culinary water system for every one (1) acre foot of potable water conveyed to the City.

9.2 Sewer. Sanitary sewer disposal shall be provided through the City's treatment facilities at rates applicable to other city residential users. Owner shall be responsible for the payment of any and all costs and expenses which shall be incurred for the construction of sanitary sewer system within the Project, including fees required to be incurred to hook into the City's sewer lines, including

connections fees, if any, applicable to the commencement of service. Upon completion of the rezoning of the Property as A-2 (TDR-R), the Project will be entitled to seventy-~~five~~seven (7~~5~~7) "hook-ups" to the sewer system as part of the transfer of development rights only as approved by the parties. The right of the owner to ~~A~~additional hook-ups ~~may be acquired by Owner as permitted by~~ will be based on owner's compliance with the Adequate Public Facilities Ordinance in the City Code as applied to the Property. A copy of the approved plan for the sanitary sewer system is attached hereto as Exhibit F. Upon completion, the sanitary sewer system shall be dedicated to the City and the City shall undertake the operation and maintenance of same.

9.3 Storm Water Retention and Distribution. The Project shall be designed so that storm water from the Project shall be retained within the Project and released from the Project no faster than normal flows from the Property. Collection of storm water shall be on west end of the Project, with discharge and overflow being permitted into the adjacent canal subject to approval of the Bureau of Reclamation. Owner shall be responsible for the payment of any and all costs and expenses which shall be incurred for the construction of retention basins and the storm water collection and distribution system within the Project and to hook into the City's storm water system. A copy of the approved plan for the storm water sanitary sewer system is attached hereto as Exhibit G. Upon completion, the storm water system shall be dedicated to the City and the City shall undertake the operation and maintenance of same.

9.4 Debris Flow Mitigation. Owner shall, at its sole cost and expense, construct a debris collection basin at the two locations designated on the Master Plan. Plans and specifications for the Debris Basins shall be subject to the review and approval of the City. The southern debris basin is to be located upon real property not owned or controlled by the City or Owner and the City shall work with Owner to gain permission for the construction and maintenance

9.5 Streets. Streets within the Project shall be constructed at the cost and expense of Owner. All such streets shall be constructed according to City standards, with main roads having a sixty (60) foot wide drive surface and secondary streets a fifty (50) foot wide drive surface.

9.6 Trails. Owner shall construct trails designated on the Master Plan which will permit access to the Upper Open Space.

10. Assignment of Agreement. Owner's rights under this Agreement shall be personal to Owner and shall only run with the land so long as Owner or a company which is affiliated with or under common ownership and control of Owner shall own and be the Owner of the Property. In the event that Owner intends to sell the Property or any portion thereof to any other party, Owner shall advise City of such intention. Only upon the express prior written approval by ~~of~~ the City, shall any rights of Owner with respect to the portion of the Property being sold be deemed transferred to the new owner thereof. City may withhold such approval in the exercise of its reasonable business judgment, based upon conditions that exist at the time of the transfer, the proposed transferee and the history of the development of the Project prior to such time.

11. Final Project, Development Plan and Subdivision Approval. Owner shall cause final project plans and specifications (including site and building design plans) and final subdivision plans and plats (the "Final Plans") to be prepared for the Project.

11.1 Standard for Plans. In particular, such Final Plans shall meet the following requirements:

(a) Be in sufficient detail, as reasonably determined by City, to enable City to ascertain whether the Project will be of high quality design (including the size, scope, composition of the primary exterior components, on and off-site vehicular and pedestrian access, and general Project design) and in accordance with the terms and conditions of this Agreement.

(b) Comply with all City standards and requirements applicable to drainage, debris flow mitigation, review of the geotechnical and geological report by the State Geologist Office.

(c) Comply with the standards and requirements of Chapter 18 of the Mapleton City Code. (A-2 [TDR-R] zone).

(d) Comply with all other requirements as they relate to any proposed development located on the Property.

11.2 Duty of Owner. Provide other information as City may reasonably request.

12. Standard for Approval. City, on the recommendation of its Planning Commission and Development Review Committee, shall approve the Final Plans if such Final Plans meet the standards and requirements enumerated in Paragraph 11 and if, as determined by City, the Final Plans are consistent with commitments made to City that the Project will be a high quality development that will be designed in a manner to minimize adverse impacts to the neighborhood as set forth in Exhibit C attached hereto and incorporated herein.

13. Commencement of Site Preparation. Owner shall not commence site preparation or construction of any Project improvement on the Property until such time as the Final Plans have been approved by City in accordance with the terms and conditions of this Agreement.

14. Project Phasing and Timing. Upon approval of the Final Plans, Owner shall proceed by constructing the Project in approved phases. Phases will be based on the amount of TDR's used by the Owner considering that new sewer hook-ups are limited to the amount of TDR's applied to the Property. Phasing will also be limited to the cul-de-sac, block length, and second access requirements as outline in Chapter 17 and 18 of the Mapleton City Code

15. Changes to Project. Final plats may not be modified without approval by the City. No material modifications to the Final Plans shall be made after approval by City without City's written approval of such modification. Owner may request approval of material modifications to the Final Plans from time to time as Owner may determine necessary or appropriate. For purposes of this

Agreement, a material modification shall mean any modification which (i) decreases the size of a lot by more than ten (10) percent, (ii) substantially modifies open space designations within the Project, or (iii) changes the functional design of the Project in such a way that materially affects traffic, drainage or other design characteristics. Modifications to the Final Plans which do not constitute material modifications may be made without the consent of City. In the event of a dispute between Owner and City as to the meaning of "material modification," no modification shall be made without express City approval. Modifications shall be approved by City if such proposed modifications are consistent with City's then applicable rules and regulations for projects in the A-2 (TDR-R) zone, and are otherwise consistent with the standard for approval set forth in Paragraph 4 hereof.

16. Time of Approval. Any approval required by this Agreement shall not be unreasonably withheld or delayed and shall be made in accordance with procedures applicable to the A-2 (TDR-R) zone.

17. Easements and Rights of Access. City shall grant to Owner such easements and/or rights of access as may be reasonably necessary for the construction and maintenance of improvements required to be constructed in connection with the development of the Property. Such easement may be temporary as required for construction or permanent to the extent necessary for Owner or its successors in interest to maintain facilities constructed in connection with the Project.

18. Term. The term of this Agreement shall commence on, and the effective date of this Agreement shall be, the effective date of the Ordinance approving the Rezoning Request. In the event a building permit for either the construction of either Project improvements or a single family residence within the Project has not been issued within forty-eight (48) months after approval of the Final Plans, this Agreement shall expire and shall have no further force or effect and City may initiate a rezoning action. Owner shall have no obligation to undertake the development of the Property or the submission of proposed plans until such time as Owner shall elect in the exercise of Owners sole and absolute discretion.

19. Successors and Assigns. This Agreement shall be binding on the successors and assigns of Owner. Notwithstanding the foregoing, an approved purchaser of the Project or any portion thereof shall be responsible for performance of Owner's obligations hereunder as to any portion of the Project so transferred. In the event of an approved sale or transfer of the Project, or any portion thereof, the seller or transferor and the buyer or transferee shall be jointly and severally liable for the performance of each of the obligations contained in this Agreement, unless prior to such transfer an agreement satisfactory to City, delineating and allocating between Owner and transferee the various rights and obligations of Owner under this Agreement, has been approved by City. Alternatively, prior to such approved sale or transfer, Owner shall obtain from the buyer or transferee a letter (i) acknowledging the existence of this Agreement and (ii) agreeing to be bound thereby. Said letter shall be signed by the buyer or transferee, notarized, and delivered to City prior to the transfer or sale. In such event, the buyer or transferee of the parcel so transferred shall be fully substituted as Owner under this Agreement and Owner executing this Agreement shall be released from any further obligations under this Agreement as to the parcel so transferred.

20. Events of Default. Upon the happening of one or more of the following events or conditions Owner or City, as applicable, shall be in default ("Default") under this Agreement.

(a) A warranty, representation or statement made or furnished by Owner under this Agreement is intentionally false or misleading in any material respect when it was made.

(b) A determination by City made upon the basis of substantial evidence that Owner has not complied in good faith with one or more of the material terms or conditions of this Agreement.

(c) Any other event, condition, act or omission, either by City or Owner, (i) violates the terms of, or (ii) materially interferes with the intent and objectives of this Agreement.

20.1 Procedure Upon Default. Upon the occurrence of Default, the non-defaulting party shall give the other party thirty (30) days written notice specifying the nature of the alleged Default and, when appropriate, the manner in which said Default must be satisfactorily cured. In the event that the Default cannot reasonably be cured within thirty (30) days, the defaulting party shall have such additional time as may be necessary to cure such Default so long as the defaulting party takes action to begin curing such Default with such thirty (30) day period and thereafter proceeds diligently to cure the Default. After proper notice and expiration of said thirty (30) day or other appropriate cure period without cure, the non-defaulting party may declare the other party to be in breach of this Agreement. Failure or delay in giving notice of default shall not constitute a waiver of any Default.

20.2 Force Majure. Any Default or inability to cure a Default caused by strikes, lockouts, labor disputes, acts of God, inability to obtain labor or materials or reasonable substitutes therefor, governmental restrictions, governmental regulations, governmental controls, enemy or hostile governmental action, civil commotion, fire or other casualty, and other similar causes beyond the reasonable control of the party obligated to perform, shall excuse the performance by such party for a period equal to the period during which any such event prevented, delayed or stopped any required performance or effort to cure a Default.

20.3 Repudiation. An express repudiation, refusal, or renunciation of this Agreement, if the same is in writing and signed by Owner, shall be sufficient to terminate this Agreement.

20.4 Breach of Agreement. Upon Default as set forth in Paragraph 20(a) and (b) above, City may declare Owner to be in breach of this Agreement and City (i) may withhold approval of any or all building permits or certificates of occupancy applied for in the Project, but not yet issued; and (ii) shall be under no obligation to approve or to issue any additional building permits or certificates of occupancy for any building within the Project until the Default has been corrected by Owner. In addition to such remedies, either City or Owner (in the case of a default by the City) may pursue whatever additional remedies it may have at law or in equity, including injunctive and other equitable relief.

21. Recording of Agreement. In the event City approves the Rezoning Request, an ordinance rezoning the Property shall not be finally executed until Owner executes this Agreement. Thereafter, the ordinance rezoning the Property shall be finally executed and this Agreement or a memorandum providing public notice of the existence of this Agreement shall be recorded immediately as a covenant running with the Property herein described in order to put prospective purchasers or other interested parties on notice as to the terms and provisions hereof.

22. Severability. Each and every provision of this Agreement shall be separate, several and distinct from each other provision hereof, and the invalidity, unenforceability, or illegality of any such provision shall not affect the enforceability of any other provision hereof.

23. Time of Performance. Time shall be of the essence with respect to the duties imposed on the parties under this Agreement. Unless a time limit is specified for the performance of such duties each party shall commence and perform its duties in a diligent manner in order to complete the same as soon as reasonably practicable.

24. Construction of Agreement. This Agreement shall be construed so as to effectuate its public purpose of ensuring the Property is developed as set forth herein to protect health, safety, and welfare of the citizens of City.

25. State and Federal Law. The parties agree, intend and understand that the obligations imposed by this Agreement are only such as are consistent with state and federal law. The parties further agree that if any provision of this Agreement becomes, in its performance, inconsistent with state or federal law or is declared invalid, this Agreement shall be deemed amended to the extent necessary to make it consistent with state or federal law, as the case may be, and the balance of the Agreement shall remain in full force and effect. If City's approval of the Project is held invalid by a court of competent jurisdiction, this agreement shall be null and void.

26. Enforcement. The parties to this Agreement recognize that City has the right to enforce its rules, policies, regulations, ordinances, and the terms of this Agreement by seeking an injunction to compel compliance. In the event Owner violates the rules, policies, regulations or ordinances of City or violates the terms of this Agreement, City may, without declaring a Default hereunder or electing to seek an injunction, and after thirty (30) days written notice to correct the violation (or such longer period as may be established in the discretion of City or a court of competent jurisdiction if Owner has used its reasonable best efforts to cure such violation within such thirty (30) days and is continuing to use its reasonable best efforts to cure such violation), take such actions as shall be deemed appropriate under law until such conditions have been rectified by Owner. City shall be free from any liability arising out of the exercise of its rights under this paragraph.

27. No Waiver. Failure of a party hereto to exercise any right hereunder shall not be deemed a waiver of any such right and shall not affect the right of such party to exercise at some future time said right or any other right it may have hereunder. Unless this Agreement is amended by vote of the Municipal Council taken with the same formality as the vote approving this agreement, no

officer, official or agent of City has the power to amend, modify or alter this Agreement or waive any of its conditions as to bind City by making any promise or representation not contained herein.

28. Entire Agreement. This Agreement shall supersede all prior agreements with respect to the subject matter hereof, not incorporated herein, and all prior agreements and understandings are merged herein. This Agreement shall not be modified or amended except in written form mutually agreed to and signed by each of the parties.

29. Attorneys Fees. Should any party hereto employ an attorney for the purpose of enforcing this Agreement, or any judgment based on this Agreement, for any reason or in any legal proceeding whatsoever, including insolvency, bankruptcy, arbitration, declaratory relief or other litigation, including appeals or rehearings, and whether or not an action has actually commenced, the prevailing party shall be entitled to receive from the other party thereto reimbursement for all attorneys' fees and all costs and expenses. Should any judgment or final order be issued in any proceeding, said reimbursement shall be specified therein.

30. Notices. Any notices required or permitted to be given pursuant to this Agreement shall be deemed to have been sufficiently given or served for all purposes when presented personally, or four days after being sent by registered or certified mail, properly addressed to the parties as follows (or to such other address as the receiving party shall have notified the sending party in accordance with the provisions hereof):

To the Owner:
Scott Dean
Suburban Land Reserve, Inc.
10 East South Temple, Suite 1650
Salt Lake City, Utah 84133

With a copy to:
Don White
Zions Securities Corporation
10 East South Temple, Suite 1500
Salt Lake City, Utah 84133

To the City:

Mathew W. Evans, AICP	and	Robert P. Bradshaw
Planning Administrator/Director		City Administrator
35 East Maple Street		35 East Maple Street
Mapleton, Utah 84664		Mapleton, Utah 84664

With copy to:
~~M. James Brady~~ Duval, Hansen, Witt, and Morely, P.C.
~~City Attorney~~Mapleton City's Legal Services
~~P.O. Box 432~~ 110 South Main
~~Provo, Utah 84603~~Pleasant Grove, UT 84062

31. Applicable Law. This Agreement and the construction thereof, and the rights, remedies, duties, and obligations of the parties which arise hereunder are to be construed and enforced in accordance with the laws of the State of Utah.

32. Execution of Agreement. This Agreement may be executed in multiple parts as originals or by facsimile copies of executed originals; provided, however, if executed and evidence of execution is made by facsimile copy, then an original shall be provided to the other party within seven (7) days of receipt of said facsimile copy.

33. Hold Harmless. Owner agrees to and shall hold City, its officers, agents, employees, consultants, special counsel, and representatives harmless from liability for damages, just compensation restitution, judicial or equitable relief arising out of claims for personal injury, including health, and claims for property damage which may arise from the direct or indirect operations of Owner or its contractors, subcontractors, agents, employees or other persons acting on its behalf which relates to the Project. The agreements of Owner in this section shall not be applicable to (i) any claim arising by reason of the negligence or intentional actions of City, or (ii) attorneys' fees under Paragraph 29 herein. City shall give written notice of any claim, demand, action or proceeding which is the subject of Owner's hold harmless agreement as soon as practicable, but not later than thirty (30) days after the assertion or commencement of the claim, demand, action or proceeding. If any such notice is given, Owner shall be entitled to participate in the defense of such claim. Each party agrees to cooperate with the other in the defense of any claim and to minimize duplicative costs and expenses.

34. Relationship of Parties. The contractual relationship between City and Owner arising out of this Agreement is one of independent contractor and not agency. This Agreement does not create any third party beneficiary rights. It is specifically understood by the parties that: (i) all rights of action and enforcement of the terms and conditions of this Agreement shall be reserved to City and Owner, (ii) the Project is a private development; (iii) City has no interest in or responsibilities for or duty to third parties concerning any improvements to the Property; and (iv) Owner shall have the full power and exclusive control of the Property subject to the obligations of Owner set forth in this Agreement.

35. Annual Review. City shall review progress pursuant to this Agreement at least once every twelve (12) months to determine if Owner has complied with the terms of this Agreement. If City finds, on the basis of substantial evidence, that Owner has failed to comply with the terms hereof, City may declare Owner to be in Default as provided in Paragraph 20 herein. City's failure to review at least annually Owner's compliance with the terms and conditions of this Agreement shall not constitute or be asserted by any party as a Default under this Agreement by Owner or City.

36. Institution of Legal Action. In addition to any other rights or remedies, either party may institute legal action to cure, correct, or remedy any default or breach, to specifically enforce any covenants or agreements set forth in this Agreement or to enjoin any threatened or attempted violation of this Agreement; or to obtain any remedies consistent with the purpose of this Agreement.

Legal actions shall be instituted in the Fourth District Court, State of Utah, or in the Federal District Court for the District of Utah.

37. Title and Authority. Owner expressly warrants and represents to City that it is a Utah corporation in good standing and that such corporation owns all right, title and interest in and to the Property and that no portion of the Property, or any right, title or interest therein has been sold, assigned or otherwise transferred to any entity or individual. Owner further warrants and represents that no portion of the Property is subject to any lawsuit or pending legal claim of any kind. Owner warrants that the undersigned individual has full power and authority to enter into this Agreement on behalf of Owner. Owner understands that City is relying on such representations and warranties in executing this Agreement.

38. Headings for Convenience. All headings and captions used herein are for convenience only and are of no meaning in the interpretation or effect of this Agreement.

IN WITNESS WHEREOF, this Development Agreement has been executed by City, acting by and through its Municipal Council, pursuant to Municipal Council motion adopted on authorizing such execution, and by a duly authorized representative of Owner as of the date first written above.

CITY:

Attest:

MAPLETON CITY,
a political subdivision of the State of Utah

By: _____
Mayor

OWNER:

SUBURBAN LAND RESERVE, INC.,
a Utah corporation

By: _____
Its: President

[*Notaries on Next Page*]

STATE OF UTAH)
: ss.
COUNTY OF Utah)

The foregoing instrument was acknowledged before me on this 7th day of May, 2003 by Dennis S. Allen, as Mayor, representing Mapleton City Corporation, a Utah municipal corporation, who executed the within instrument on behalf of the municipal corporation therein named, and acknowledged to me that said municipal corporation executed the same.

NOTARY PUBLIC

My commission expires: 4-1-06

Residing at: Mapleton, Utah

NOTARY PUBLIC
STATE OF UTAH
My Commission Expires
April 1, 2006
DIANNE D. WITTUSEN
85 East Maple Street
Mapleton, Utah 84664

STATE OF UTAH)
: ss.
COUNTY OF SALT LAKE)

The foregoing instrument was acknowledged before me on this 27 day of April, 2003, by Mark B. Gibbons, as president of the Suburban Land Reserve, Inc., a Utah corporation, who executed the within instrument on behalf of the corporation therein named, and acknowledged to me that said corporation executed the same.

COSETTE SNARR
NOTARY PUBLIC - STATE OF UTAH
10 E South Temple, Ste 400
Salt Lake City, UT 84133-1101
My Comm. Exp. 11-29-2004

NOTARY PUBLIC

My commission expires: 11-29-2004

Residing at: Salt Lake City

EXHIBIT 2

RESOLUTION NO. 2003-20

A RESOLUTION OF THE CITY OF MAPLETON, UTAH APPROVING THE DEVELOPMENT AGREEMENT BETWEEN SUBURBAN LAND RESERVE FOR PROPERTY RESERVE INC. AND THE CITY OF MAPLETON

WHEREAS, the Planning Commission recommended that a development agreement be in place between the City and Suburban Land Reserve for Property Reserve Inc., for the following reasons:

1. To ensure continuity of development if the property is sold.
2. That proper consideration of geological conditions be given.
3. That adequate offsite improvements be developed.
4. A rural master plan be used in the development.

WHEREAS, the City Council designated that a Development Agreement Committee be formed to review the concerns of the Planning Commission, City Council, and issues brought forward to the City Council by citizens of the City; and

WHEREAS, the Development Agreement Committee unanimously recommended the Development Agreement attached as Exhibit A;

NOW THEREFORE, BE IT RESOLVED by the City Council of Mapleton, Utah, that the Development Agreement attached as Exhibit A be approved between Suburban Land Reserve for Property Reserve, Inc. (owner) and the City of Mapleton.

This resolution adopted this 7th day of May, 2003, by the City Council of Mapleton City, Utah.

Dean S. Allan

Dean S. Allan
Mayor

ATTEST:

Debbie Walser

Debbie Walser
City Recorder

EXHIBIT 3

ORDINANCE NO. 2003-13

AN ORDINANCE AMENDING THE OFFICIAL ZONE MAP OF MAPLETON CITY, UTAH

WHEREAS, proper application has been made by Suburban Land Reserve for Property Reserve Inc. (owner) to rezone portions of parcel numbers 27-034-0001 & 0047 located at approximately 1250 East 1600 South with 166 acres in the A-2 zone be designated as a TDR-R site; and,

WHEREAS, Ordinance #2002-16 rezoned portions of parcel numbers 27-034-0001 & 0047, with 75 acres in the CE-1 Zone be rezoned as a TDR-S site; and,

WHEREAS, the TDR-S and TDR-R applications have received favorable recommendations from the Mapleton City Planning Commission; and,

WHEREAS, the Planning Commission also recommended that a development agreement be in place between the City and Suburban Land Reserve for Property Reserve Inc., for the following reasons:

1. To ensure continuity of development if the property is sold.
2. That proper consideration of geological conditions be given.
3. That adequate offsite improvements be developed.
4. A rural master plan be used in the development.

WHEREAS, the City Council designated that a Development Agreement Committee be formed to review the concerns of the Planning Commission, City Council, and issues brought forward to the City Council by citizens of the City; and,

WHEREAS, the Development Agreement Committee has finalized a Development Agreement to recommend to the City council;

NOW THEREFORE, be it ordained by the City Council of Mapleton City, Utah that

PART I

The official Zone Map of Mapleton City is hereby amended to show that the Zone Classification applicable to portions of parcels 27-034-0001 & 0047, identified in Plat Map Exhibit "A", shall be designated as a TDR-R site of 166 acres in the A-2 zone. A development agreement shall take place between the City and Suburban Land Reserve for Property Reserve Inc. (owner), which will incorporate the following:

1. To ensure continuity of development if the property is sold.
2. That proper consideration of geological conditions be given.
3. That adequate offsite improvements be developed.
4. A rural master plan be used in the development.

PART II

CONFLICTING PROVISIONS - SEVERABILITY - ADOPTION - EFFECTIVE DATE

Whenever the provisions of this ordinance conflict with the provisions of any other ordinance, resolution or part thereof, the provisions of this ordinance shall prevail. This ordinance and the various sections, clauses and paragraphs are hereby declared to be severable. If a part, sentence, clause or phrase is adjudged to be unconstitutional or invalid, it is hereby declared that the remainder of the ordinance shall not be affected thereby. This ordinance shall take effect upon its passage and posting as required by law.

PASSED AND ORDERED PUBLISHED BY THE CITY COUNCIL OF MAPLETON, UTAH, this 7th day of May, 2003.

Dean S. Allan
Mayor

ATTEST:

Debbie Walser
City Recorder

Publication Date: 5-28-03

Effective Date: 5-28-03

UTAH COUNTY PLATS

Section 23 Township 8 South, Range 3 East

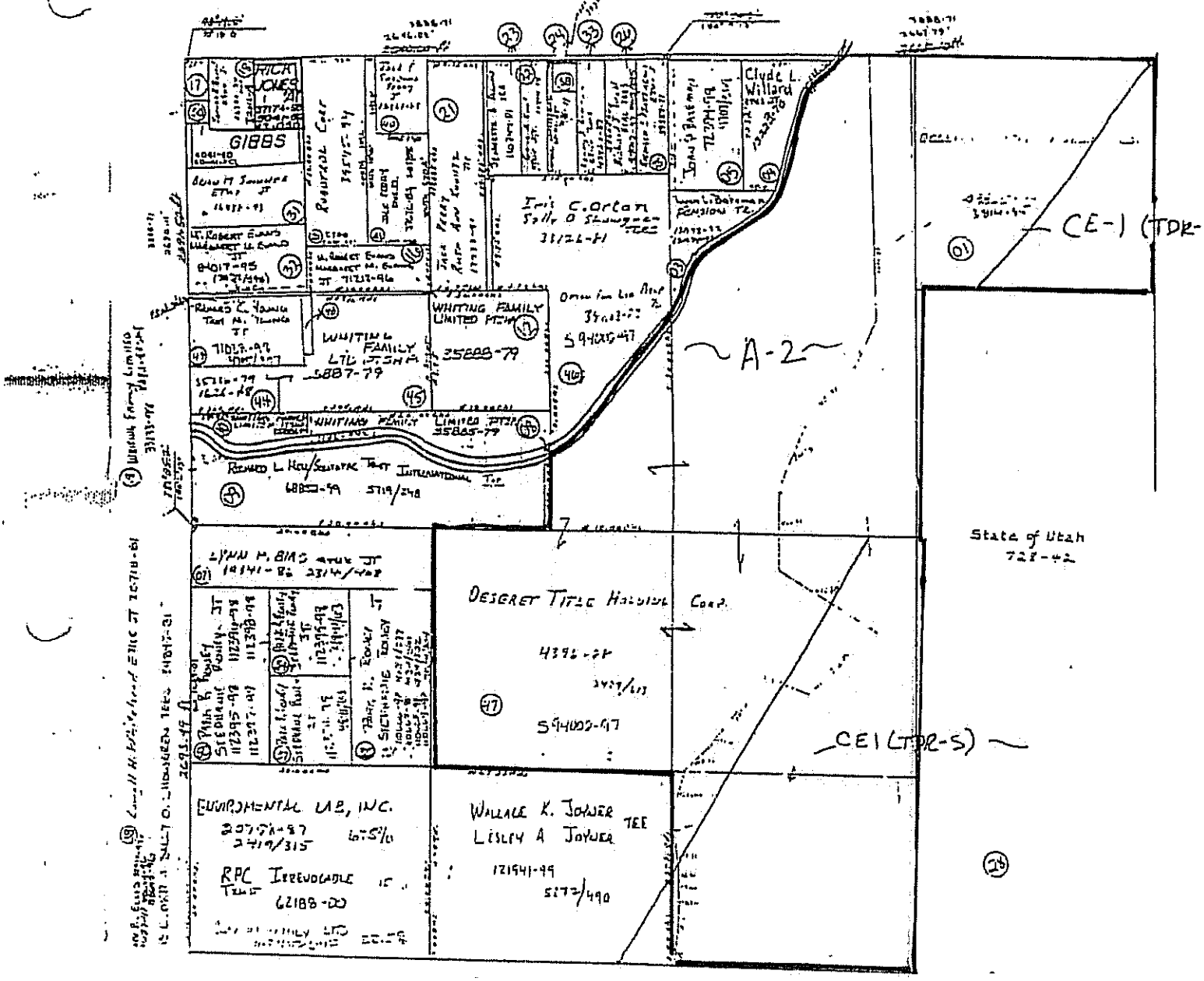

EXHIBIT A

EXHIBIT 4

ENT 145801:2005 PG 1 of 7
RANDALL A. COVINGTON
UTAH COUNTY RECORDER
2005 Dec 16 2:01 pm FEE 23.00 BY VM
RECORDED FOR TALDN GROUP
ELECTRONICALLY RECORDED

AFTER RECORDING RETURN TO:
Craig Thueson
7711 Pheasant Wood Dr.
Sandy, Utah 84093-6292

PLEASE MAIL TAX NOTICES TO:
Craig Thueson
7711 Pheasant Wood Dr.
Sandy, Utah 84093-6292

For Information Only: Tax Parcel Nos. 27-034-0001; 27-034-0047

Space Above for Recorder's Use Only

SPECIAL WARRANTY DEED

SUBURBAN LAND RESERVE, INC., a Utah corporation, with its principal office at 5 Triad Center, Suite 325, Salt Lake City, Utah 84180-1102, ("Grantor") does hereby CONVEY AND WARRANT AGAINST ALL CLAIMING BY, THROUGH, OR UNDER IT to:

CRAIG THUESON,
an individual,

whose address is 7711 Pheasant Wood Dr., Sandy, Utah 84093-6292 ("Grantee"), for the sum of Ten Dollars ($10.00) and other good and valuable consideration, the following described tract of land (the "Property") in Salt Lake County, State of Utah:

A parcel of land being a portion of the Southeast 1/4 of Section 14, and Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian, Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 0.449 Feet and East 0.013 (per a Warranty Deed from Orion to Deseret Title Holding Company, recorded as Entry No. 48825-79) to the real Point Of Beginning:

Thence the following four (4) courses and distance along said Warranty Deed, 1) South 01°43'20" East a distance of 1336.41 Feet; 2) thence South 89°14'04" West a distance of 1355.50 feet; 3) thence South 00°46'44" East a distance of 1338.33 feet; 4) thence South 00°04'49" West a distance of 2702.98 feet to the south line of Section 23; thence South 88°54'16" West along said south line, a distance of 1381.72 feet to a Brass Cap Monument marking the South 1/4 Corner of Section 23; thence North 00°09'53" East Along The N-S mid section line, a distance of 1354.64 feet to a found iron pin, LS# 142870; thence South 89°20'38" West along the south line of the Northeast 1/4 of the Southeast 1/4 of Section 23, a distance of 1307.19

110986

feet to a found iron pin LS# 142870; thence North 00°01'42" West along the west line of the Northeast 1/4 of the Southeast 1/4 of Section 23 a distance of 1331.47 feet to the south line of the Whiting Property as described in a Quit Claim Deed, Entry No. 35885-79; thence along said property the following two (2) courses and distances, 1) east a distance of 668.32 feet; 2) thence North 502.80 feet to the southerly line of the Mapleton Lateral Canal; thence along the southerly line of said Canal as follows, northeasterly 182.63 feet along the arc of a non-tangent 588.14-foot radius curve to the left, said curve having a central angle of 17°47'31" and subtended by a chord that bears North 48°54'34" East a distance of 181.90 feet to the curves end; thence North 40°00'49" East a distance of 758.05 feet to a point of curvature of a 373.17-foot radius curve to the left; thence northeasterly 161.05 feet along the arc of said curve, having a central angle of 24°43'38" and subtended by a chord that bears North 27°39'00" East a distance of 159.80 feet to the curves end; thence North 15°16'49" East a distance of 105.86 feet to a point of curvature of a 271.57-foot radius curve to the right; thence northeasterly 195.85 feet along the arc of said curve, having a central angle of 41°19'13" and subtended by a chord that bears North 35°56'26" East a distance of 191.63 feet to the curves end; thence North 56°36'49" East a distance of 315.04 feet to a point of curvature of a 301.57-foot radius curve to the left; thence northeasterly 214.33 feet along the arc of said curve, having a central angle of 40°43'15" and subtended by a chord that bears North 36°15'11" East a distance of 209.85 feet to the curves end; thence North 15°52'49" East a distance of 530.75 feet to a point of curvature of a 80.54-foot radius curve to the right; thence northeasterly 46.36 feet along the arc of said curve, having a central angle of 32°58'49" and subtended by a chord that bears North 32°22'14" East a distance of 45.72 feet to the curves end; thence North 48°52'49" East a distance of 55.46 feet to a point of curvature of a 731.34-foot radius curve to the left; thence northeasterly 99.54 feet along the arc of said curve, having a central angle of 07°47'54" and subtended by a chord that bears North 44°58'52" East a distance of 99.46 feet to the curves end; thence North 41°04'49" East a distance of 194.80 feet; thence leaving said Canal, North 88°56'07" East a distance of 62.82 feet; thence South 00°26'45" East a distance of 42.15 feet; thence North 89°23'48" East a distance of 212.15 feet; thence South 89°27'24" East a distance of 64.83 feet; thence North 00°44'56" West a distance of 21.24 feet; thence North 89°05'14" East a distance of 1342.19 feet to the real Point Of Beginning.

(Basis of bearing is the Utah State Coordinate System, Central Zone or South 89°18'20" West along the north line of said Section 23).

[Contains 245.60 acres, more or less]

EXCEPTING FROM THE ABOVE DESCRIBED PROPERTY THE FOLLOWING TWO (2) PARCELS:

Exception Parcel 1:

A parcel of land lying within the East ½ of Section 23, Township 8 South, Range 3 East, SLB&M., Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 2501.53 feet and West 1299.61 feet to the Grantor's East Property line, (as described in that certain Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) which shall be the real point of beginning and running:

thence S 00°46'44" E	191.06 feet;
thence S 00°04'49" W	2,702.98 feet;
thence S 88°54'16" W	1,381.72 feet;
thence N 00°09'53" E	1,217.72 feet;
thence N 42°48'14" E	389.73 feet;
thence N 38°54'40" E	370.46 feet;
thence N 36°00'27" E	214.39 feet;
thence N 37°39'42" E	263.40 feet;
thence N 85°12'51" E	57.51 feet;
thence N 25°14'50" E	236.19 feet;
thence N 47°01'13" E	505.47 feet;
thence N 18°35'25" E	174.22 feet; and
thence N 31°29'29" E	21.60 feet to the real point of
beginning.	

(Basis of Bearing is the Utah State Coordinate System, Central Zone or S 89°18'20" W along the North line of said Section 23).

[Contains approximately 64.10 acres, more or less]

Exception Parcel 2:

A parcel of land lying within the Northeast ¼ of the Northeast ¼ Section 23, Township 8 South, Range 3 East, SLB&M., Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 0.449 feet and East 0.013 feet (as described in that certain Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) to the real point of beginning and running:

Thence the following two (2) courses and distance along the boundary described by said Warranty Deed:

S 01°43'20" E	1,336.41	feet; and
thence S 89°14'04" W	642.81	feet;

Thence along the following eleven (11) courses:

N 25°52'40" E	350.67	feet;
thence N 23°13'14" E	377.26	feet;
thence N 59°23'26" E	86.38	feet;
thence N 38°10'48" E	34.81	feet;
thence N 02°41'47" W	83.17	feet;
thence N 37°19'35" W	25.81	feet;
thence S 84°48'35" W	86.43	feet;
thence N 29°54'24" W	98.09	feet;
thence N 42° 39'03"E	275.80	feet;
thence N 07°57'21" E	227.11	feet to the North line of Grantors Property; and
thence N 89°05'14" E	141.21	feet to the real point of beginning

(Basis of Bearing is the Utah State Coordinate System, Central Zone or S 89°18'20" W along the North line of said Section 23).

[Contains approximately 10.914 acres, more or less]

EXCEPTING THEREFROM all oil, gas, minerals and mineral rights; provided, however that Grantor relinquishes all rights to enter upon the surface of all or any portion of the Property for any purpose in connection with the development or utilization of any rights excepted from this conveyance or to extract such minerals within five hundred (500) feet of the surface of the Property.

SUBJECT TO lien for general taxes and assessments not yet due and payable and those matters set forth on Exhibit "A" attached hereto and incorporated by this reference.

TOGETHER WITH ALL RIGHT, TITLE AND INTEREST OF GRANTOR in and to 19.50 shares in the Mapleton Irrigation Company as evidenced by Certificate No. 2122, which shares are being conveyed without any representation or warranty, express or implied.

Grantor for itself and for its successors in interest does by these presents expressly limit the covenants of this deed to those herein expressed, and excludes all other covenants arising or to arise by statute or otherwise, express or implied.

IN WITNESS WHEREOF, Grantor has executed this Special Warranty Deed this 14 day of December, 2005.

GRANTOR: SUBURBAN LAND RESERVE, INC.,
a Utah corporation

By: _____
Mark B. Gibbons, President

STATE OF UTAH)
:ss
COUNTY OF SALT LAKE)

On this 14th day of December, 2005, personally appeared before me Mark B. Gibbons, President of Suburban Land Reserve, Inc., a Utah corporation, who acknowledged to me that he signed the foregoing instrument as President for said corporation.

Sheryl Featherstone
Notary Public

EXHIBIT "A"
to
SPECIAL WARRANTY DEED

The real property conveyed pursuant to the Special Warranty Deed to which this exhibit is attached is being conveyed subject to:

1. Taxes or assessments which are not shown as existing liens by the records of any taxing authority that levies taxes or assessments on real property or by the public records.

2. Any facts, rights, interest or claims which are not shown by the public records but which could be ascertained by an inspection of said land or by making inquiry of persons in possession thereof.

3. Easements, claims of easements or encumbrances which are not shown by the public records.

4. Discrepancies, conflicts in boundary lines, shortage in area, encroachments and any other facts which a correct survey would disclose, and which are not shown by public records.

5. Unpatented mining claims; reservations or exceptions in patents or in Acts authorizing the issuance thereof, water rights, claims or title to water.

6. Any lien, or right to a lien, for services, labor or material heretofore or hereafter furnished, imposed by law and not shown by the public records.

7. Defects, liens, encumbrances, adverse claims or other matters, if any, created, first appearing in the public records or attaching subsequent to the effective date hereof but prior to the date the proposed insured acquires of record for value the estate or interest or mortgage thereon covered by this commitment.

8. Taxes for the year 2006 and subsequent years not yet due and payable.

9. These premises are within the boundaries of Mapleton City District and are subject to the levies and assessments thereof.

10. The effect of the 1969 Farmland Assessment Act, by reason of that certain Application for Assessment and Taxation of Agricultural Land, recorded December 02, 2002 as Entry No. 145711:2002 of Official Records.

11. Subject to the effect, if any, of that certain Mining Notice of Tunnel Claim as recorded January 17, 1885 as Entry No. 139 in Book 27 at Page 200 of Official Records.

12. Easements or rights of way of the public to use highway and rights of way for ditches, tunnels and telephone and transmission line, as disclosed in that certain patent recorded May 16, 1921 as Entry No. 2991 in Book 206 at Page 171 of Official Records.

13. An easement dated September 20, 1956 in favor of Utah Power and Light Company recorded September 24, 1956 as Entry 13468 in Book 725 at page 157 of Official Records.

14. Right of way for ingress and egress as disclosed by that certain Warranty Deed recorded August 24, 1978 as Entry 33977 in Book 1675 at Page 78 of Official Records.

15. Right of Way the diversion of water and appurtenances thereto belonging from two tunnel streams as disclosed by that certain Certificate of Appropriation of Water recorded June 11, 1982 as Entry 14589 in Book 1985 at Page 536 of Official Records.

16. An easement granted to Ensign-Bickford Company, a Corporation by Instrument recorded November 16, 1998 as Entry No. 117886 in Book 4858 at Page 608 of Official Records.

17. An easement granted to Ensign-Bickford Company, a Connecticut Corporation by instrument recorded November 17, 1998 as Entry No. 118447 in Book 4860 at Page 793 of Official Records.

18. Subject to the effects of the Mapleton Lateral of the Strawberry Valley Project as disclosed by that certain Deed recorded October 16, 1919 as Entry No. 8650 in Book 191 at Page 25 of Official Records.

19. Conflicts in boundary lines created by that certain Warranty Deed executed by C. Nate Nelson, a married man, in favor of Margaret R. Galland, as Trustee of the Testamentary Trust of Margaret Gary Rose, deceased, recorded August 30, 1990 as Entry No. 28549 in Book 2719 at page 420 of Official Records.

20. Conflicts in boundary lines created by that certain Warranty Deed executed by Philip N. Broadbent and Betty Jean Broadbent, in favor of Randy Tidwell and Elizabeth Tidwell, husband and wife as joint tenants with full rights of survivorship, and Wallace K. Joyner, recorded July 13, 1995 as Entry No. 44861 in Book 3719 at page 510 of Official Records.

21. Conflicts in boundary lines created by that certain Warranty Deed executed by Oak Springs Ranches, J.L. Franklin Trust Co., in favor of Rocking O. Ranch Inc., recorded June 03, 1997 as Entry No. 42322 in Book 4285 at page 623 of Official Records.

EXHIBIT 5

ENT 145802:2005 PG 1 of 8
RANDALL A. COVINGTON
UTAH COUNTY RECORDER
2005 Dec 16 2:01 pm FEE 25.00 BY VM
RECORDED FOR TALON GROUP
ELECTRONICALLY RECORDED

AFTER RECORDING RETURN TO:
The Preserve at Mapleton Development Company, LLC
407 North Main Street
Springville, Utah 84663

PLEASE MAIL TAX NOTICES TO:
The Preserve at Mapleton Development Company, LLC
407 North Main Street
Springville, Utah 84663

For Information Only: Tax Parcel Nos. 27-034-0001; 27-034-0047

Space Above for Recorder's Use Only

SPECIAL WARRANTY DEED

Craig Thueson, an Individual, with its principal office at 7711 Pheasant Wood Dr. Sandy, Utah 84093-6292, ("Grantor") does hereby CONVEY AND WARRANT AGAINST ALL CLAIMING BY, THROUGH, OR UNDER HIM AND HIS PREDECESSOR SUBURBAN LAND RESERVE, INC. to:

THE PRESERVE AT MAPLETON DEVELOPMENT COMPANY, LLC,
a Utah Corporation,

whose address is 407 North Main Street, Springville, Utah 84663 ("Grantee"), for the sum of Ten Dollars ($10.00) and other good and valuable consideration, the following described tract of land (the "Property") in Salt Lake County, State of Utah:

A parcel of land being a portion of the Southeast 1/4 of Section 14, and Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian, Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 0.449 Feet and East 0.013 (per a Warranty Deed from Orion to Deseret Title Holding Company, recorded as Entry No. 48825-79) to the real Point Of Beginning:

Thence the following four (4) courses and distance along said Warranty Deed, 1) South 01°43'20" East a distance of 1336.41 Feet; 2) thence South 89°14'04" West a distance of 1355.50 feet; 3) thence South 00°46'44" East a distance of 1338.33 feet; 4) thence South 00°04'49" West a distance of 2702.98 feet to the south line of Section 23; thence South 88°54'16" West along said south line, a distance of 1381.72 feet to a Brass Cap Monument marking the South 1/4 Corner of Section 23; thence North 00°09'53" East Along The N-S mid section line, a distance of 1354.64 feet to a found iron pin, LS# 142870; thence South 89°20'38" West along the south line of the

LD00028

Northeast 1/4 of the Southeast 1/4 of Section 23, a distance of 1307.19 feet to a found iron pin LS# 142870; thence North 00°01'42" West along the west line of the Northeast 1/4 of the Southeast 1/4 of Section 23 a distance of 1331.47 feet to the south line of the Whiting Property as described in a Quit Claim Deed, Entry No. 35885-79; thence along said property the following two (2) courses and distances, 1) east a distance of 668.32 feet; 2) thence North 502.80 feet to the southerly line of the Mapleton Lateral Canal; thence along the southerly line of said Canal as follows, northeasterly 182.63 feet along the arc of a non-tangent 588.14-foot radius curve to the left, said curve having a central angle of 17°47'31" and subtended by a chord that bears North 48°54'34" East a distance of 181.90 feet to the curves end; thence North 40°00'49" East a distance of 758.05 feet to a point of curvature of a 373.17-foot radius curve to the left; thence northeasterly 161.05 feet along the arc of said curve, having a central angle of 24°43'38" and subtended by a chord that bears North 27°39'00" East a distance of 159.80 feet to the curves end; thence North 15°16'49" East a distance of 105.86 feet to a point of curvature of a 271.57-foot radius curve to the right; thence northeasterly 195.85 feet along the arc of said curve, having a central angle of 41°19'13" and subtended by a chord that bears North 35°56'26" East a distance of 191.63 feet to the curves end; thence North 56°36'49" East a distance of 315.04 feet to a point of curvature of a 301.57-foot radius curve to the left; thence northeasterly 214.33 feet along the arc of said curve, having a central angle of 40°43'15" and subtended by a chord that bears North 36°15'11" East a distance of 209.85 feet to the curves end; thence North 15°52'49" East a distance of 530.75 feet to a point of curvature of a 80.54-foot radius curve to the right; thence northeasterly 46.36 feet along the arc of said curve, having a central angle of 32°58'49" and subtended by a chord that bears North 32°22'14" East a distance of 45.72 feet to the curves end; thence North 48°52'49" East a distance of 55.46 feet to a point of curvature of a 731.34-foot radius curve to the left; thence northeasterly 99.54 feet along the arc of said curve, having a central angle of 07°47'54" and subtended by a chord that bears North 44°58'52" East a distance of 99.46 feet to the curves end; thence North 41°04'49" East a distance of 194.80 feet; thence leaving said Canal, North 88°56'07" East a distance of 62.82 feet; thence South 00°26'45" East a distance of 42.15 feet; thence North 89°23'48" East a distance of 212.15 feet; thence South 89°27'24" East a distance of 64.83 feet; thence North 00°44'56" West a distance of 21.24 feet; thence North 89°05'14" East a distance of 1342.19 feet to the real Point Of Beginning.

(Basis of bearing is the Utah State Coordinate System, Central Zone or South 89°18'20" West along the north line of said Section 23).

[Contains 245.60 acres, more or less]

EXCEPTING FROM THE ABOVE DESCRIBED PROPERTY THE FOLLOWING TWO (2) PARCELS:

Exception Parcel 1:

A parcel of land lying within the East ½ of Section 23, Township 8 South, Range 3 East, SLB&M., Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 2501.53 feet and West 1299.61 feet to the Grantor's East Property line, (as described in that certain Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) which shall be the real point of beginning and running:

thence S 00°46'44" E	191.06 feet;
thence S 00°04'49" W	2,702.98 feet;
thence S 88°54'16" W	1,381.72 feet;
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thence N 47°01'13" E	505.47 feet;
thence N 18°35'25" E	174.22 feet; and
thence N 31°29'29" E	21.60 feet to the real point of
beginning.	

(Basis of Bearing is the Utah State Coordinate System, Central Zone or S 89°18'20" W along the North line of said Section 23).

[Contains approximately 64.10 acres, more or less]

Exception Parcel 2:

A parcel of land lying within the Northeast ¼ of the Northeast ¼ Section 23, Township 8 South, Range 3 East, SLB&M., Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 0.449 feet and East 0.013 feet (as described in that certain Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) to the real point of beginning and running:

Chm

Thence the following two (2) courses and distance along the boundary described by said Warranty Deed:

S 01°43'20" E	1,336.41	feet; and
thence S 89°14'04" W	642.81	feet;

Thence along the following eleven (11) courses:

N 25°52'40" E	350.67	feet;
thence N 23°13'14" E	377.26	feet;
thence N 59°23'26" E	86.38	feet;
thence N 38°10'48" E	34.81	feet;
thence N 02°41'47" W	83.17	feet;
thence N 37°19'35" W	25.81	feet;
thence S 84°48'35" W	86.43	feet;
thence N 29°54'24" W	98.09	feet;
thence N 42° 39'03"E	275.80	feet;
thence N 07°57'21" E	227.11	feet to the North line of Grantors Property; and
thence N 89°05'14" E	141.21	feet to the real point of beginning

(Basis of Bearing is the Utah State Coordinate System, Central Zone or S 89°18'20" W along the North line of said Section 23).

[Contains approximately 10.914 acres, more or less]

EXCEPTING THEREFROM all oil, gas, minerals and mineral rights; provided, however that Grantor relinquishes all rights to enter upon the surface of all or any portion of the Property for any purpose in connection with the development or utilization of any rights excepted from this conveyance or to extract such minerals within five hundred (500) feet of the surface of the Property.

SUBJECT TO lien for general taxes and assessments not yet due and payable and those matters set forth on Exhibit "A" attached hereto and incorporated by this reference.

TOGETHER WITH ALL RIGHT, TITLE AND INTEREST OF GRANTOR in and to 19.50 shares in the Mapleton Irrigation Company as evidenced by Certificate No. 2122, which shares are being conveyed without any representation or warranty, express or implied.

Grantor for itself and for its successors in interest does by these presents expressly limit the covenants of this deed to those herein expressed, and excludes all other covenants arising or to arise by statute or otherwise, express or implied.

IN WITNESS WHEREOF, Grantor has executed this Special Warranty Deed this 14 day of December, 2005.

GRANTOR: CRAIG THUESON
an Individual

By: Craig Thueson
Craig Thueson

STATE OF UTAH)
:ss
COUNTY OF SALT LAKE)

On this 14 day of December, 2005, personally appeared before me Mark B. Gibbons, President of Suburban Land Reserve, Inc., a Utah non-profit corporation, who acknowledged to me that he signed the foregoing instrument as President for said corporation.

Notary Public
See attached.

Cont

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State of Utah

County of Salt Lake

On the 14 day of December, 2005, personally appeared before me Craig Thueson, the signer of the foregoing instrument who being by me duly sworn did acknowledge that he executed the same.

Notary Public

Notary Public
VICTORIA J. WALKER
150 E. Social Hall Avenue, Suite 525
Salt Lake City, Utah 84111
My Commission Expires
July 8, 2006
State of Utah

LD00033

EXHIBIT "A"
to
SPECIAL WARRANTY DEED

The real property conveyed pursuant to the Special Warranty Deed to which this exhibit is attached is being conveyed subject to:

1. Taxes or assessments which are not shown as existing liens by the records of any taxing authority that levies taxes or assessments on real property or by the public records.

2. Any facts, rights, interest or claims which are not shown by the public records but which could be ascertained by an inspection of said land or by making inquiry of persons in possession thereof.

3. Easements, claims of easements or encumbrances which are not shown by the public records.

4. Discrepancies, conflicts in boundary lines, shortage in area, encroachments and any other facts which a correct survey would disclose, and which are not shown by public records.

5. Unpatented mining claims; reservations or exceptions in patents or in Acts authorizing the issuance thereof, water rights, claims or title to water.

6. Any lien, or right to a lien, for services, labor or material heretofore or hereafter furnished, imposed by law and not shown by the public records.

7. Defects, liens, encumbrances, adverse claims or other matters, if any, created, first appearing in the public records or attaching subsequent to the effective date hereof but prior to the date the proposed insured acquires of record for value the estate or interest or mortgage thereon covered by this commitment.

8. Taxes for the year 2006 and subsequent years not yet due and payable.

9. These premises are within the boundaries of Mapleton City District and are subject to the levies and assessments thereof.

10. The effect of the 1969 Farmland Assessment Act, by reason of that certain Application for Assessment and Taxation of Agricultural Land, recorded December 02, 2002 as Entry No. 145711:2002 of Official Records.

11. Subject to the effect, if any, of that certain Mining Notice of Tunnel Claim as recorded January 17, 1885 as Entry No. 139 in Book 27 at Page 200 of Official Records.

12. Easements or rights of way of the public to use highway and rights of way for ditches, tunnels and telephone and transmission line, as disclosed in that certain patent recorded May 16, 1921 as Entry No. 2991 in Book 206 at Page 171 of Official Records.

13. An easement dated September 20, 1956 in favor of Utah Power and Light Company recorded September 24, 1956 as Entry 13468 in Book 725 at page 157 of Official Records.

14. Right of way for ingress and egress as disclosed by that certain Warranty Deed recorded August 24, 1978 as Entry 33977 in Book 1675 at Page 78 of Official Records.

15. Right of Way the diversion of water and appurtenances thereto belonging from two tunnel streams as disclosed by that certain Certificate of Appropriation of Water recorded June 11, 1982 as Entry 14589 in Book 1985 at Page 536 of Official Records.

16. An easement granted to Ensign-Bickford Company, a Corporation by Instrument recorded November 16, 1998 as Entry No. 117886 in Book 4858 at Page 608 of Official Records.

17. An easement granted to Ensign-Bickford Company, a Connecticut Corporation by Instrument recorded November 17, 1998 as Entry No. 118447 in Book 4860 at Page 793 of Official Records.

18. Subject to the effects of the Mapleton Lateral of the Strawberry Valley Project as disclosed by that certain Deed recorded October 16, 1919 as Entry No. 8650 in Book 191 at Page 25 of Official Records.

19. Conflicts in boundary lines created by that certain Warranty Deed executed by C. Nate Nelson, a married man, in favor of Margaret R. Galland, as Trustee of the Testamentary Trust of Margaret Gary Rose, deceased, recorded August 30, 1990 as Entry No. 28549 in Book 2719 at page 420 of Official Records.

20. Conflicts in boundary lines created by that certain Warranty Deed executed by Philip N. Broadbent and Betty Jean Broadbent, in favor of Randy Tidwell and Elizabeth Tidwell, husband and wife as joint tenants with full rights of survivorship, and Wallace K. Joyner, recorded July 13, 1995 as Entry No. 44861 in Book 3719 at page 510 of Official Records.

21. Conflicts in boundary lines created by that certain Warranty Deed executed by Oak Springs Ranches, J.L. Franklin Trust Co., in favor of Rocking O. Ranch Inc., recorded June 03, 1997 as Entry No. 42322 in Book 4285 at page 623 of Official Records.

EXHIBIT 6

MAPLETON CITY COUNCIL MEETING DECEMBER 21, 2005

PRESIDING AND CONDUCTING: Mayor Dean S. Allan

Council Members: Lori B. Allen--Excused
Benjamin D. Card
Francis D. Gibson-Excused
Keith H. Stirling
Jim Brady

Also Present: Robert Bradshaw, City Administrator
Tracy Padgett- Planning and Zoning

Minutes Recorded by: Camille Brown, City Recorder

DISCUSSION ITEMS AND REPORTS FROM THE COUNCIL MEMBERS AND STAFF:

CALL TO ORDER:
Mayor Allan called the meeting to order at 6:37 p.m, Craig Thueson led the meeting in the Pledge of Allegiance and Ann Tolley gave the invocation.

ACTION ITEMS:
1. **Suburban Land Reserve- Development Agreement Assignee.**
The Mayor briefly summarized the background history associated with the acquisition of the Suburban Land Reserve property located on the east side of Mapleton Canal.
It was reported that under the provisions of the May 7, 2003 Development Agreement between SLR and the City Council, SLR received development approval for 134 properties plus 77 Transferable Development Rights in exchange for the dedication to the City of 77 acres of Land.
Subsequently, SLR elected not to proceed with the development of their land directly and invited bids for the sale of the land to a developer. Accordingly SLR had sold the property to Craig Theuson subject to City approval to the assignment as required under the Development Agreement, to build approximately 55 dwellings.
Following a lengthy discussion the following resolution was moved by Cl. Card and seconded by Cl Stirling.

Motion: Cl Card moved to approve that the land transfer and related rights by suburban land reserve, inc to The Preserve at Mapleton Development Company, LLC be approved in accordance with the resolution to these minutes subject also to the following modifications set out herein:
(i) **Paragraph 4-** to read: WHEREAS, Suburban has agreed to sell its remaining interest consisting of approximately 170 acres remaining after approximately 75 acres zoned TDR-S after deeding to the City the Property to Craig Thueson AKA The Preserve at Mapleton Development Company, LLC. ("The Preserve") subject to the approval of the City to said transfer; and .....
(ii) **Paragraph 6-** substitute 52 homes for 55 homes
(iii) **Add F to Section 2 stating:** A legal undertaking by The Preserve at Mapleton Development Company, LLC, to dedicate within 1 year after final plan approval of phase 1 of the development a 10 acre parcel of land on a location to be mutually agreed between the City and The Preserve at Mapleton Development Company, LLC.
Second: Cl Stirling seconded the motion
Vote: Passed 3:0

2. South Utah County Cities Canal Agreement- Consideration of entering into Canal Agreement with Strawberry Water Users Association

Continued to January 4, 2006.

3. Consideration of a resolution to appoint Don Korth and Jim Hatfield to the Utilities Committee.

Motion: Cl. Stirling moved to approve the resolution to appoint Don Korth and Jim Hatfield to the Utilities Committee.

Second: Cl Brady seconded the motion.

Vote: Passed 3:0

Assigned resolution number 2005-60

Motion: Cl Brady moved to adjourn the regular.

Second: Cl Card seconded the motion.

Vote: Passed unanimously

Meeting adjourned at 8:00 p.m.

Camille Brown

Camille Brown, City Recorder

APPROVED: January 4, 2006

EXHIBIT 7

MAPLETON CITY COUNCIL MEETING MAY 17, 2006

APOLOGY FOR ABSENCE:	**An apology for absence was submitted on behalf of Mayor Allan.**
PRESIDING AND CONDUCTING:	**Mayor Pro-tem Keith H. Stirling**
Council Members:	**Jim Brady** **Brian Wall** **Ann H. Tolley** **Francis Gibson**
Also Present:	**Robert Bradshaw, City Administrator** **Mathew Evans, Planning & Zoning Director** **Scott Bird, Public Works Director** **Dean Pettersson, Police Chief**
Minutes Recorded by:	**Robert Bradshaw**

WORK SESSION:

Mike Cobia and Lewis Pratt the Chairman and Vice-Chairman of the Planning Commission attended the meeting to discuss the current procedural arrangements for considering an approval of PRC zones. The point was made that because approval of these zones was a legislative action it was necessary for the Planning Commission to consider and make recommendations on the preliminary plats in order to give guidance to the City Council (acting in its legislative capacity) to determine the zone change request. A similar procedure applied to STP zoning and TDR receiving sites. Under the current arrangements difficulties resulted when zone changes were being considered and approved prematurely before the Planning Commission and the Development Review Committee had first had an opportunity to address and resolve infrastructure requirements and off-site improvements where appropriate.

It was noted that, of late, developers were attempting to use a PRC zone change request as an approach to achieving increased density thus circumventing the need to obtain and apply Transferable Development Rights for this purpose. It was pointed out that what was needed was for the Council to adopt the practice that it applied in previous years which was to require the developer to enter into a development agreement thus locking him into a specified infrastructure, specifying density, amenities and off-site improvements in conjunction with the proposed lot layout before the zone change application was granted.

Following the discussion it was agreed that a special joint meeting be convened for the members of the Council and the Planning Commission members, together with staff from the Public Works and Planning and Zoning departments, to be held at 6:30 pm on Wednesday, May 24th to enable a more comprehensive discussion to take place on this issue.

CALL TO ORDER:

Mayor Pro-tem Stirling called the meeting to order at 7:00 p.m., Eagle Scout, Zac Johnson led the meeting in the Pledge of Allegiance and Mike _____gave the invocation. Councilman Stirling welcomed and recognized representatives of the Varsity Scout Group present at the meeting.

CEREMONIAL MATTERS:

1. Mayor's Proclamation- Skin Cancer Awareness

Councilman Stirling read the Mayor's Proclamation declaring May 2006 as Skin Cancer Awareness Month. It was resolved May 2006 be declared as Skin Cancer Awareness Month.

OPEN FORUM:

Wendell Gibby- Spoke to the issue of proper governance citing Ezra Taft Benson's views and expressed a plea for the City Council members to adopt a balanced view when considering issues associated with the City.

proposal.
Wendell Gibby- Also challenged the Planning and Zoning Director's interpretation of the city ordinance which he considered was silent on the process for dealing with application's to relocate utility poles and cited the provisions of a recent House Bill 132 which reinforced the rights of owners in the use of their private property.
Randy Graham- Requested that the City Council members should treat the application for the relocation of the power pole line with fairness and objectivity applying the same standard that would apply to any other citizen.
Trudy Gibby- Expressed frustration at the legal costs that were being consumed in this dispute with the City and suggested that the legal fees could be saved and applied to other much needed projects within Mapleton.

There then ensued a lengthy and comprehensive discussion amongst the City Council members following which a first motion was proposed by Clw. Tolley and seconded by Cl. Gibson that this application be approved.

Amendment: Cl. Wall moved that the application for the relocation of the power pole line should be continued to enable the request for the approval of the grading permit to be considered by the Planning Commission which would thereafter make recommendation for the City Council to consider.
Second: Clw. Tolley seconded the amendment whereupon it was RESOLVED that the application for the relocation of the power line be continued to enable the request for the grading permit to be considered by the Planning Commission which would thereafter make recommendations for the City Council to consider.
Vote: Passed 3:0

4. An ordinance amending the Official Zoning Map of Mapleton City rezoning approximately 206 acres of property located at approximately 1250 East 1600 South (parcel #'a 27:034:0058, 0057, 0012, 0008, 0045, 0048, 0044, 0010, 0041, 0046, 0021 & 0040) from the A2 Zone Designation to the PRC-4 Zone Designation. The applicant is Nathan Simpson.
Consideration was given to the staff report prepared by the Planning and Zoning Director on this application which was based on an application to construct 92 lots of varying lots sizes ranging from ¾ of an acre to 5 plus acre lots. Cl. Stirling invited public comment.

On behalf of the developer, Nate Simpson, made a presentation to the City Council referring to a concept plan outlining the outlining the development proposed on the land south of 1600 South and 1250 East.
Paul Anderson- Although not opposed to the development under consideration expressed his concern regarding lot density and the need to negotiate access to his 4 acre property south of his existing home.
Luzone Wall- Expressed her opposition to the proposed horse trail route proposed within the development to the rear of her property which it was considered would lead to loss of privacy, reduced visibility and potential liabilities for injuries sustained by horse riders using the trail.
Ron Cook- Sought clarification from the Council on the status of the application and was advised that it was at its preliminary stages only.

At the conclusion of the public hearing, a lengthy discussion ensued on the merits of the application.

Motion: Cl. Brady moved that the application that the rezoning of the 206 acres of property from an A2 zone to a PRC-4 zone designation be approved contingent upon
(1) the recommendations of the Planning Commission and the approval of the final plan for the 92 lots with associated trail systems, amenities and infrastructure as set out in the concept plan, on the understanding that some refinements may be necessary to comply with adjustments identified by local residents and the Planning Commission and that in all other respects would comply with the provisions of the development agreement.
(2) the application be further reviewed in 5 months on the basis that if the concept plan has not been submitted to the Council for final approval, consideration will be given to rezoning the land to its original A2 zone designation.
Second: Cl. Wall seconded the motion
Vote: Passed 4:0
Assigned ordinance number 2006-15

Sally Korman- Expressed concern about the delay in proceeding with an interlocal agreement regarding the proposed Clyde Park and asked if anything could be done to expedite this matter. She was informed by the City Administrator that the delay was due to the preparation by Springville City of a more comprehensive boundary realignment annexation which would have to precede the interlocal agreement with Springville City.

Tom Augustus- Asked whether any progress had been made on his contact with Mayor Allan advocating a fire district for the cities of Spanish Fork, Springville and Mapleton. Councilman Brady indicated that this could be on an agenda for discussion at a future council meeting but only after a feasibility assessment have been made as to the impact on the level of service that would be provided and the associated costs.

ACTION ITEMS:

2. Consideration of widening the road on 1200 North.

Discussion was lead by chairman, Mike Jenkins and several members of the Hobble Creek Elementary Community Council made a power point presentation using photographs to illustrate the Community Council's concerns about the safety risk encountered by children attending the Hobble Creek Elementary school because of the increased vehicular traffic along the narrow section of road between 400 East and 700 East- a position which would be exacerbated upon the opening of the Mapleton Jr. High School later this year. Reference was also made to additional traffic generation that would be associated with the launch of a new Band/Orchestra program which would involve up to an additional 100 students being transported between the two schools later this year.

The Community Council representatives proposed that to alleviate this problem the City Council should seriously consider a scheme for the widening of 1200 North particularly between 400 East and 700 East with the provision of a sidewalk on the south side and the provision of additional crosswalks on the northeast corner of the new Jr. High School.

Following a lengthy discussion it was agreed:

a. That the Public Works Director should undertake a feasibility study assessing the technical and financial implications of widening the street on the Southside of 1200 North between 400 East and 700 East.
b. That the Planning and Zoning director write to the homeowners of the properties between 400 to 700 East seeking their agreement to the dedication of the strip of land required at the front of each property to enable the City proceed with the widening scheme.
c. That Chief Pettersson undertake an investigation of a further option for implementing further traffic management proposals including the feasibility of implementing a one-way traffic system in this area.

Motion: Cl. moved to approve a resolution
Second: Cl. seconded the motion
Vote: Passed 5:0

3. Consideration of an application for Pole Relocation for MCBRS, located at approximately 50 South, 2200 East, CE-1 Zone. The applicant is Wendell Gibby.

[Prior to discussion of this item Councilman Brady recused himself from the meeting and took no part of the discussion or vote thereon.]
Consideration was given to the staff report prepared by the Planning and Zoning Director, summarizing the application of the City Ordinances that applied to the application for relocation of the utility power line which application had been continued from the previous City Council meeting.

The Planning and Zoning director made specific reference to the provisions of the city ordinances that included a requirement for applications of this nature to be accompanied by a site plan that must be considered in conjunction with an accompanying development application for consideration. The report indicated that under city ordinances the utility poles within the Critical Environment zone constituted a nonconforming use and city code contained no process for considering applications for a grading permit to relocate a power line is absent of a development proposal. Councilman Stirling opened the discussion to public comment.
Dayle Jeffs- Mr. Jeffs expressed his view that because the power poles did not service the property of Mr. Gibby and provided electricity to the community generally he disagreed with the points made in the planning and Zoning directors staff report regarding nonconforming status and the requirement to submit a site plan with a development

ADJOURNMENT FROM THE REGULAR SESSION.

Motion: Cl. Wall moved to close the regular meeting and open a closed meeting pursuant to U.C.A. §52-4-5 for the purpose of the discussing impending litigation based on in order to consider items pertaining to impending litigation.
Second: Cl. Brady seconded the motion
Vote: Passed unanimously

Discussion took place on several issues associated with an impended land transaction and impending litigation.

Motion: Cl. Gibson moved to adjourn.
Second: Cl. Wall seconded the motion.
Vote: Passed unanimously.

Meeting adjourned at 12:15 a.m.

_____
Camille Brown, City Recorder

APPROVED: June 6, 2006

EXHIBIT 8

ORDINANCE NO. 2006-15

AN ORDINANCE CHANGING THE ZONE DESIGNATION FOR TAX ID #'s 27:034:0058, 0057, 0012, 0008, 0045, 0048, 0044, 0010, 0041, 0046, 0021 & 0040, LOCATED AT APPROXIMATELY 1250 EAST 1600 SOUTH, FROM THE A2 TO THE PRC-4 ZONE DESIGNATION.

WHEREAS, the applicant has made a valid application to request a zone change at the aforementioned property, and;

WHEREAS, the proposed zone change is consistent with the General Plan Designation of the property, and;

WHEREAS, the applicant has also submitted a proposed development plan of the property as required by Section 18.12 of the Mapleton City Code, and;

WHEREAS, the Planning Commission has reviewed the proposed re-zone, and with a vote of 5:1:1 recommended to the City Council approval as to such.

NOW THEREFORE, BE IT RESOLVED by the City Council of Mapleton, Utah, that the proposed re-zone from the A2 to the PRC-4 Zone Designation for Nate Simpson be approved by the City Council as proposed. This resolution adopted this 17th day of May, 2006, by the City Council of Mapleton City, Utah.

PASSED AND ORDERED PUBLISHED BY THE CITY COUNCIL OF MAPLETON, UTAH, this 17th day of May, 2006.

Dean S. Allan
Mayor

ATTEST:

Camille Brown
City Recorder

Publication Date: April 27, 2006
Effective Date: May 17, 2006

EXHIBIT 9

TRUST DEED NOTE

DO NOT DESTROY THIS NOTE: When paid, this note, with Trust Deed securing same, must be surrendered to Trustee for cancellation, before reconveyance will be made.

Dated: December 1, 2006

$ 6,800,000.00

FOR VALUE RECEIVED, the undersigned, jointly and severally, promise to pay to the order of LDIII, LLC, SIX MILLION EIGHT HUNDRED THOUSAND DOLLARS ($6,800,000.00), together with interest from date at the rate of TWELVE per cent (12.00 %), per annum on the unpaid principal, said principal and interest payable as follows:

It is agreed by all parties that the $6,800,000.00 loan is to be paid back within a year on priority payback of all pre sales and sales in the first year, plus an interest rate of 1% per month on the unpaid balance due and payable on the last calendar day of each month. The complete note balance is due by December 1, 2007. It is agree that every sale has a minimum payback on this note of $250,000.00. The note payback due and payable 1 week after the close of every pre sale or sale. The penalty for none payment of note balance after December 1, 2007 is 1% per month of unpaid balance until paid.

Each payment shall be applied first to accrued interest and the balance to the reduction of principal.

If default occurs in the payment of said installments of principal and interest or any part thereof, or in the performance of any agreement contained in the Trust Deed securing this note, the holder hereof, at its option and without notice or demand, may declare the entire principal balance and accrued interest due and payable.

If this note is collected by an attorney after default in the payment of principal or interest, either with or without suit, the undersigned jointly and severally agree to pay all costs and expenses of collection including a reasonable attorney's fee.

The makers, sureties, guarantors and endorsers hereof severally waive presentment for payment, demand and notice of dishonor and nonpayment of this note, and consent to any and all extensions of time, renewals, waivers or modifications that may be granted by the holder hereof with respect to the payment or other provisions of this note, and to the release of any security, or any part thereof, with or without substitution.

This note is secured by a Trust Deed of even date herewith.

The Preserve at Mapleton Development Company, LLC

Manager

David R. Simpson, Manager

Manager

Nathan R. Simpson, Manager

Read and approved by:

Leslie DeAnn Mower, member

Document prepared by Pro-Title and Escrow, Inc. ◆ 101 N. University Ave, Provo, Utah 84601 ◆ (801) 375-0026 ◆ Fax: (801) 375-0046

EXHIBIT 10

Send tax notices to:	ENT 38186:2008 PG 1 of 7 RANDALL A. COVINGTON UTAH COUNTY RECORDER 2008 Apr 01 3:37 pm FEE 30.00 BY SS RECORDED FOR BARTLETT TITLE INSURANCE AG ELECTRONICALLY RECORDED

TRUST DEED

(WITH ASSIGNMENT OF RENTS)

THIS TRUST DEED, made December 1, 2006, between The Preserve at Mapleton Development Company, LLC as Trustor, whose address is 407 North Main, Springville, Utah 84663, Pro-Title and Escrow, Inc. as Trustee*, and LDIII, LLC as Beneficiary, WITNESSETH:

That Trustor CONVEYS AND WARRANTS TO TRUSTEE IN TRUST, WITH POWER OF SALE, the following described property, situated in Utah County, State of Utah:

***** SEE EXHIBIT "A" ATTACHED HERETO *****

Together with all buildings, fixtures and improvements thereon, and all water rights, rights of way, easements, rents, issues, profits, income, tenements, hereditaments, privileges and appurtenances thereunto belonging, now or hereafter used or enjoyed with said property, or any part thereof, SUBJECT, HOWEVER, to the right, power and authority hereinafter given to and conferred upon Beneficiary to collect and apply such rents, issues, and profits;

FOR THE PURPOSE OF SECURING (1) payment of the indebtedness evidenced by a promissory note of even date herewith, in the principal sum of $ 6,800,000.00, made by Trustor, payable to the order of Beneficiary at the time, in the manner and with interest as therein set forth, and any extensions and/or renewals or modifications thereof; (2) the performance of each agreement of Trustor herein contained; (3) the payment of such additional loans or advances as hereafter may be made to Trustor, or his successors or assigns, when evidenced by a promissory note or notes reciting that they are secured by this Trust Deed; and (4) the payment of all sums expended or advanced by Beneficiary under or pursuant to the terms hereof, together with interest thereon as herein provided.

*NOTE: Trustee must be a member of the Utah State Bar; a bank, building and loan association or savings and loan association authorized to do such business in Utah; a corporation authorized to do a trust business in Utah; or a title insurance or abstract company authorized to do such business in Utah.

TO PROTECT THE SECURITY OF THIS TRUST DEED, TRUSTOR AGREES:

1. To keep said property in good condition and repair; not to remove or demolish any building thereon; to complete or restore promptly and in good and workmanlike manner any building which may be constructed, damaged or destroyed thereon; to comply with all laws, covenants and restrictions affecting said property; not to commit or permit waste thereof; not to commit, suffer or permit any act upon said property in violation of law; to do all other acts which from the character or use of said property may be reasonably necessary, the specific enumerations herein not excluding the general; and if the loan secured hereby or any part thereof is being obtained for the purpose of financing construction of improvements on said property, Trustor further agrees:

   (a) To commence construction promptly and to pursue same with reasonable diligence to completion in accordance with plans and specifications satisfactory to Beneficiary, and

   (b) To allow Beneficiary to inspect said property at all times during construction.

Trustee, upon presentation to it of an affidavit signed by Beneficiary, setting forth facts showing a default by Trustor, under this numbered paragraph, is authorized to accept as true and conclusive all facts and statements therein, and to act thereon hereunder.

2. To provide and maintain insurance, of such type or types and amounts as Beneficiary may require, on the improvements now existing or hereafter created or placed on said property. Such insurance shall be carried in companies approved by Beneficiary with loss payable clauses in favor of and in form acceptable to Beneficiary. In event of loss, Trustor shall give immediate notice to Beneficiary, who may make proof of loss, and each

LD00013

insurance company concerned is hereby authorized and directed to make payment for such loss directly to Beneficiary instead of to Trustor and Beneficiary jointly, and the insurance proceeds, or any part thereof, may be applied by Beneficiary, at its option, to reduction of the indebtedness hereby secured or to the restoration or repair of the property damaged.

3. To deliver to, pay for and maintain with Beneficiary until the indebtedness secured hereby is paid in full, such evidence of title as Beneficiary may require, including abstracts of title or policies of title insurance and any extensions or renewals thereof or supplements thereto.

4. To appear in and defend any action or proceeding purporting to affect the security hereof, the title to said property, or the rights or powers of Beneficiary or Trustee; and should Beneficiary or Trustee elect to also appear in or defend any such action or proceeding, to pay all costs and expenses, including cost of evidence of title and attorney's fees in a reasonable sum incurred by Beneficiary or Trustee.

5. To pay at least 10 days before delinquency all taxes and assessments affecting said property, including all assessments upon water company stock and all rents, assessments and charges for water, appurtenant to or used in connection with said property; to pay, when due, all encumbrances, charges, and liens with interest, on said property or any part thereof, which at any time appear to be prior or superior hereto; to pay all costs, fees, and expenses of this Trust.

6. Should Trustor fail to make any payment or to do any act as herein provided, then Beneficiary or Trustee, but without obligation so to do and without notice to or demand upon Trustor and without releasing Trustor from any obligation hereof, may: Make or do the same in such manner and to such extent as either may deem necessary to protect the security hereof, Beneficiary or Trustee being authorized to enter upon said property for such purposes; commence, appear in and defend any action or proceeding purporting to affect the security hereof or the rights of powers of Beneficiary or Trustee; pay, purchase, contest, or compromise any encumbrance, charge or lien which in the judgment of either appears to be prior or superior hereto; and in exercising any such powers, incur any liability, expend whatever amounts in its absolute discretion it may deem necessary therefor, including costs of evidence of title, employ counsel, and pay his reasonable fees.

7. To pay immediately and without demand all sums expended hereunder by Beneficiary or Trustee, with interest from date of expenditure at the rate of ten per cent (10%) per annum until paid, and the repayment thereof shall be secured hereby.

IT IS MUTUALLY AGREED THAT:

8. Should said property or any part thereof be taken or damaged by reason of any public improvement or condemnation proceedings, or damaged by fire, or earthquake, or in any other manner, Beneficiary shall be entitled to all compensation, awards, and other payments or relief therefor, and shall be entitled at its option to commence, appear in and prosecute in its own name, any action or proceedings, or to make any compromise or settlement, in connection with such taking or damage. All such compensation, awards, damages, rights of action and proceeds, including the proceeds of any policies of fire and other insurance affecting said property, are hereby assigned to Beneficiary, who may, after deducting therefrom all its expenses, including attorney's fees, apply the same on any indebtedness secured hereby. Trustor agrees to execute such further assignments of any compensation, award, damages, and rights of action and proceeds as Beneficiary or Trustee may require.

9. At any time and from time to time upon written request of Beneficiary, payment of its fees and presentation of this Trust Deed and the note for endorsement (in case of full reconveyance, for cancellation and retention), without affecting the liability of any person for the payment of the indebtedness secured hereby, Trustee may (a) consent to the making of any map or plat of said property; (b) join in granting any easement or creating any restriction thereon; (c) join in any subordination or other agreement affecting this Trust Deed or the lien or charge thereof; (d) reconvey, without warranty, all or any part of said property. The grantee in any reconveyance may be described as "the person or persons entitled thereto", and the recitals therein of any matters or facts shall be conclusive proof of truthfulness thereof. Trustor agrees to pay reasonable Trustee's fees for any of the services mentioned in this paragraph.

10. As additional security, Trustor hereby assigns Beneficiary, during the continuance of these trusts, all rents, issues, royalties, and profits of the property affected by this trust Deed and of any personal property located thereon. Until Trustor shall default in the payment of any indebtedness secured hereby or in the performance of any agreement hereunder, Trustor shall have the right to collect all such rents, issues, royalties, and profits earned prior to default as they become due and payable. If Trustor shall default as aforesaid, Trustor's right to collect any of such moneys shall cease and Beneficiary shall have the right, with or without taking possession of the property affected hereby, to collect all rents, royalties, issues, and profits. Failure or discontinuance of Beneficiary at any time or from time to time to collect any such moneys shall not in any manner affect the subsequent enforcement by Beneficiary of the right, power, and authority to collect the same. Nothing contained herein, nor the exercise of the right by Beneficiary to collect, shall be, or be construed to be, an affirmation by Beneficiary of any tenancy, lease or option, nor an assumption of liability under, nor a subordination of the lien or charge of this Trust Deed to any such tenancy, lease or option.

11. Upon any default by Trustor hereunder, Beneficiary may at any time without notice, either in person, by agent, or

by a receiver to be appointed by a court (Trustor hereby consenting to the appointment of Beneficiary as such receiver), and without regard to the adequacy of any security for the indebtedness hereby secured, enter upon and take possession of said property or any part thereof, in its own name sue for or otherwise collect said rents, issues, and profits, including those past due and unpaid, and apply the same, less costs and expenses of operation and collection, including reasonable attorney's fees, upon any indebtedness secured hereby, and in such order as Beneficiary may determine.

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12. The entering upon and taking possession of said property, the collection of such rents, issues, and profits, or the proceeds of fire and other insurance policies, or compensation or awards for any taking or damage of said property, and the application or release thereof as aforesaid, shall not cure or waive any default or notice of default hereunder or invalidate any act done pursuant to such notice.

13. The failure on the part of Beneficiary to promptly enforce any right hereunder shall not operate as a waiver of such right and the waiver by Beneficiary of any default shall not constitute a waiver of any other or subsequent default.

14. Time is of the essence hereof. Upon default by Trustor in the payment of any indebtedness secured hereby or in the performance of any agreement hereunder, all sums secured hereby shall immediately become due and payable at the option of Beneficiary. In the event of such default, Beneficiary may execute or cause Trustee to execute a written notice of default and of election to cause said property to be sold to satisfy the obligations hereof, and Trustee shall file such notice for record in each county wherein said property or some part or parcel thereof is situated. Beneficiary also shall deposit with Trustee, the note and all documents evidencing expenditures secured hereby.

15. After the lapse of such time as may then be required by law following the recordation of said notice of default, and notice of default and notice of sale having been given as then required by law, Trustee, without demand on Trustor, shall sell said property on the date and at the time and place designated in said notice of sale, either as a whole or in separate parcels, and in such order as it may determine (but subject to any statutory right of Trustor to direct the order in which such property, if consisting of several known lots or parcels, shall be sold), at public auction to the highest bidder, the purchase price payable in lawful money of the United States at the time of sale. The person conducting the sale may, for any cause he deems expedient, postpone the sale from time to time until it shall be completed and, in every case, notice of postponement shall be given by public declaration thereof by such person at the time and place last appointed for the sale; provided, if the sale is postponed for longer than one day beyond the day designated in the notice of sale, notice thereof shall be given in the same manner as the original notice of sale. Trustee shall execute and deliver to the purchaser its Deed conveying said property so sold, but without any covenant or warranty, express or implied. The recitals in the Deed of any matters or facts shall be conclusive proof of the truthfulness thereof. Any person, including Beneficiary, may bid at the sale. Trustee shall apply the proceeds of the sale to payment of (1) the costs and expenses of exercising the power of sale and of the sale, including the payment of the Trustee's and attorney's fees; (2) cost of any evidence of title procured in connection with such sale and revenue stamps on Trustee's Deed; (3) all sums expended under the terms hereof, not then repaid, with accrued interest at 10% per annum from date of expenditure; (4) all other sums then secured hereby; and (5) the remainder, if any, to the person or persons legally entitled thereto, or the Trustee, in its discretion, may deposit the balance of such proceeds with the County Clerk of the county in which the sale took place.

16. Upon the occurrence of any default hereunder, Beneficiary shall have the option to declare all sums secured hereby immediately due and payable and foreclose this Trust Deed in the manner provided by law for the foreclosure of mortgages on real property and Beneficiary shall be entitled to recover in such proceeding all costs and expenses incident thereto, including a reasonable attorney's fee in such amount as shall be fixed by the court.

17. Beneficiary may appoint a successor trustee at any time by filing for record in the office of the County Recorder of each county in which said property or some part thereof is situated, a substitution of trustee. From the time the substitution is filed for record, the new trustee shall succeed to all the powers, duties, authority and title of the trustee named herein or of any successor trustee. Each such substitution shall be executed and acknowledged, and notice thereof shall be given and proof thereof made, in the manner provided by law.

18. This Trust Deed shall apply to, inure to the benefit of, and bind all parties hereto, their heirs, legatees, devisees, administrators, executors, successors and assigns. All obligations of Trustor hereunder are joint and several. The term "Beneficiary" shall mean the owner and holder, including any pledgee, of the note secured hereby. In this Trust Deed, whenever the context requires, the masculine gender includes the feminine and/or neuter, and the singular number includes the plural.

19. Trustee accepts this Trust when this Trust Deed, duly executed and acknowledged, is made a public record as provided by law. Trustee is not obligated to notify any party hereto of pending sale under any other Trust Deed or of any action or proceeding in which Trustor, Beneficiary, or Trustee shall be a party, unless brought by Trustee.

20. This Trust Deed shall be construed according to the laws of the State of Utah.

21. The undersigned Trustor requests that a copy of any notice of default and of any notice of sale hereunder be

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mailed to him at the address hereinbefore set forth.

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Signature of Trustor

The Preserve at Mapleton Development Company, LLC

Manager

David R. Simpson, Manager

Manager

Nathan R. Simpson, Manager

STATE OF UTAH)
COUNTY OF UTAH)

On the 1st Day of Dec. 2006, before me, the undersigned Notary Public, personally appeared David R. Simpson and Nathan R. Simpson, known to me to be the member(s) or designated agent(s) of the limited liability company that executed the above, and acknowledged to be the free and voluntary act and deed of the limited liability company, by authority of statute, its articles of organization or its operating agreement, for the uses and purposes therein mentioned, and an oath stated that they are authorized to execute said instrument freely and voluntarily for the purposes and use herein mentioned on behalf of the limited liability company.

VICKY A CURTIS
NOTARY PUBLIC STATE OF UTAH
50 SOUTH MAIN STREET
SPANISH FORK, UT 84660
COMM. EXPIRES 9-16-2009

NOTARY PUBLIC

My Commission Expires: 09/10/08 Residing at: Springville, Utah 84663

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LD00016

Pro-Title & Escrow, Inc.
Orders No. 21163-T

EXHIBIT "A"

Parcel 1 - Commencing at the Southwest Corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence East 30 chains; thence North 10 chains; thence West 20 chains; thence South 5 chains; thence West 10 chains; thence South 5 chains to the place of beginning, lying North of the strip of land granted to the United States for right-of-way for the Mapleton Lateral Canal to the U. S. Reclamation Service as said canal passes through said land from West to East and as described in Book 182, Page 442 of Deeds records of Utah County.

Parcel 2 - Commencing 1 rod East and 40 rods North from the Southwest corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence East 39 rods; thence South 20 rods; thence West 39 rods; thence North 20 rods to the place of beginning, lying North of the strip of land granted to the United States for right-of-way for the Mapleton Lateral Canal to the U. S. Reclamation Service as said canal passes through said land from West to East and as described in Book 182, Page 442 of Deeds records of Utah County.

Parcel 3 - Commencing 20 chains South and 10 chains West from the Northeast Corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence South 10 chains; thence West 10 chains; thence North 9.75 chains; thence West 20 chains; thence North 0.25 chains; thence East 30 chains to the point of beginning.

Parcel 4 - Commencing 10 chains North of the Southwest Corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence East 30.5 rods; thence North 30 rods; thence West 30.5 rods; thence South 30 rods to the point of beginning.

LESS AND EXCEPTING THEREFROM that land described in that certain Warranty Deed recorded May 22, 1985 as Entry No. 14539 in Book 2219 at Page 678 in the Utah County Recorder's office.

ALSO LESS AND EXCEPTING THEREFROM that land described in that certain Warranty Deed recorded January 26, 1998 as Entry No. 7039 in Book 4502 at Page 112 in the Utah County Recorder's office.

Parcel 5 - Commencing 40 rods North and 80 rods East from the Southwest Corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence North 39 rods; thence West 49.5 rods; thence South 39 rods; thence East 49.5 rods to the place of beginning.

LESS AND EXCEPTING THEREFROM that land described in that certain Warranty Deed recorded May 22, 1985 as Entry No. 14539 in Book 2219 at Page 678 in the Utah County Recorder's office.

ALSO LESS AND EXCEPTING THEREFROM that land described in that certain Warranty Deed recorded January 26, 1998 as Entry No. 7039 in Book 4502 at Page 112 in the Utah County

LD00017

Parcel 6 - Beginning at a point which lies North 0° 18' 56" West along the section line 981.444 feet and East 658.982 feet from the West One Quarter Corner of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; and running thence North 86° 44' 49" East 48.66 feet; thence North 01° 54' 19" West 379.60 feet; thence South 88° 25' 44" West 46.43 feet; thence South 01° 34' 16" East 381.02 feet to the point of beginning.

Parcel 7- A parcel of land being a portion of the Southeast 1/4 of Section 14, and Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian, Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 0.449 feet and East 0.013 feet (per a Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) to the real point of beginning:

thence the following for (4) courses and distance along said Warranty Deed, 1) South 01° 43' 20" East a distance of 1336.41 feet; 2) thence South 89° 14' 04" West a distance of 1355.50 feet; 3) thence South 00° 46' 44" East a distance of 1338.33 feet; 4) thence South 00° 04' 49" West a distance of 2702.98 feet to the south line of Section 23; thence South 88° 54' 16" West along said south line, a distance of 1381.72 feet to a Brass Cap Monument marking the South 1/4 Corner of Section 23; thence North 00° 09' 53" East along the N-S mid section line, a distance of 1354.64 feet to a found iron pin, LS # 142870; thence South 89° 20' 38" West along the south line of the Northeast 1/4 of the Southeast 1/4 of Section 23, a distance of 1307.19 feet to a found iron pin LS # 142870; thence North 00° 01' 42" West along the West line of the Northeast 1/4 of the Southeast 1/4 of Section 23 a distance of 1331.47 feet to the south line of the Whiting Property as described in a Quit Claim Deed, Entry No. 35885-79; thence along said property the following two (2) courses and distances, 1) east a distance of 668.32 feet; 2) thence North 502.80 feet to the southerly line of the Mapleton Lateral Canal; thence along the southerly line of said Canal as follows, northeasterly 182.63 feet along the arc of a non-tangent 588.14-foot radius curve to the left, said curve having a central angle of 17° 47' 31" and subtended by a chord that bears North 48° 54' 34" East a distance of 181.90 feet to the curves end; thence North 40° 00' 49" East a distance of 758.05 feet to a point of curvature of a 373.17 foot radius curve to the left; thence northeasterly 161.05 feet along the arc of said curve, having a central angle of 24° 43' 38" and subtended by a chord that bears North 27° 39' 00" East a distance of 159.80 feet to the curves end; thence North 15° 16' 49" East a distance of 105.86 feet to a point of curvature of a 271.57-foot radius curve to the right; thence northeasterly 195.85 feet along the arc of said curve, having a central angle of 41° 19' 13" and subtended by a chord that bears North 35° 56' 26" East a distance of 191.63 feet to the curves end; thence North 56° 36' 49" East a distance of 315.04 feet to a point of curvature of a 301.57-foot radius curve to the left; thence northeasterly 214.33 feet along the arc of said curve, having a central angle of 40° 43' 15" and subtended by a chord that bears North 36° 15' 11" East a distance of 209.85 feet to the curves end; thence North 15° 52' 49" East a distance of 530.75 feet to a point of curvature of a 80.54-foot radius curve to the right; thence northeasterly 46.36 feet along the arc of said curve, having a central angle of 32° 58' 49" and subtended by a chord that bears North 32° 22' 14" East a distance of 45.72 feet to the curves end; thence North 48° 52' 49" East a distance of 55.46 feet to a point of curvature of a 731.34-foot radius curve to the left; thence northeasterly 99.54 feet along the arc of said curve, having a central angle of 07° 47' 54" and subtended by a chord that bears North 44° 58' 52" East a distance of 99.46 feet to the curves end; thence North 41° 04' 49" East a distance

of 194.80 feet; thence leaving said Canal, North 88° 56' 07" East a distance of 62.82 feet; thence South 00° 26' 45" East a distance of 42.15 feet; thence North 89° 23' 48" East a distance of 212.15 feet; thence South 89° 27' 24" East a distance of 64.83 feet; thence North 00° 44 56' West a distance of 21.24 feet; thence North 89° 05' 14" East a distance of 1342.19 feet to the real point of beginning. (Basis of Bearing is the Utah State Coordinate System, Central Zone or South 89° 18' 20" West along the North line of said Section 23)

LESS AND EXCEPTING a parcel of land lying within the the East 1/2 of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian, Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 2501.53 feet and West 1299.61 feet to the Grantor's East Property line, (as described in that certain Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) which shall be the real point of beginning and running: thence South 00° 46' 44" East 191.06 feet; thence South 00° 04' 49" West 2,702.98 feet; thence South 88° 54' 16" West 1,381.72 feet; thence North 00° 09' 53" East 1,217.72 feet; thence North 42° 48' 14" East 389.73 feet; thence North 38° 54' 40" East 370.46 feet; thence North 36° 00' 27" East 214.39 feet; thence North 37° 39' 42" East 263..40 feet; thence North 85° 12' 51" East 57.51 feet; thence North 25° 14' 50" East 236.19 feet; thence North 47° 01' 13" East 505.47 feet; thence North 18° 35' 25" East 174.22 feet; and thence North 31° 29' 29" East 21.60 feet to the real point of beginning. (Basis of Bearing is the Utah State Coordinate System, Central Zone of South 89° 18' 20" West along the North line of said Section 23).

ALSO LESS AND EXCEPTING a parcel of land lying within the Northeast 1/4 of the Northeast 1/4 of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian, Utah County, Utah, more particularly described as follows:

Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 0.449 feet and East 0.013 feet (as described in that certain Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) to the real point of beginning and running: thence the following two (2) courses and distance along the boundary described by said Warranty Deed: South 01° 43' 20" East 1,336.41 feet; and thence South 89° 14' 04" West 642.81 feet; thence along the following eleven (11) courses: North 25° 52' 40" East 350.67 feet; thence North 23° 13' 14" East 377.26 feet; thence North 59° 23' 26" East 86.38 feet; thence North 38° 10' 48" East 34.81 feet; thence North 02° 41' 47" West 83.17 feet; thence North 37° 19' 35" West 25.81 feet; thence South 84° 48' 35" West 86.43 feet; thence North 29° 54' 24" West 98.09 feet; thence North 42° 39' 03" East 275.80 feet; thence North 07° 57' 21" East 227.11 feet to the North line of Grantors Property; and thence North 89° 05' 14" East 141.21 feet to the real point of beginning (Basis of Bearing is the Utah State Coordinate system, Central Zone or South 89° 18' 20" West along the North line of said Section 23).

ALSO LESS AND EXCEPTING any and all outstanding oil and gas, mining and mineral rights, etc., together with the right of the proprietor of a vein or lode to extract his ore therefrom should the same be found to penetrate of intersect the premises and the right of ingress and egress for the use of said rights.

LD00019

EXHIBIT 11

After recording mail to:
Bart J. Bailey, Esq.
Bailey & Jennings, LC
584 South State Street
Orem, Utah 84058

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RANDALL A. COVINGTON
UTAH COUNTY RECORDER
2008 Dec 23 1:14 pm FEE 31.00 BY SW
RECORDED FOR BAILEY, BART J

TRUSTEE'S DEED

This Trustee's Deed is made by Bart J. Bailey, a member of the Utah State Bar, as Successor Trustee, under the Trust Deed described below, in favor of LD III, LLC, 584 South State Street, Orem, Utah 84058, as Grantee ("Grantee").

Whereas, on December 1, 2006, The Preserve at Mapleton Development Company, LLC, as Trustor ("Trustor"), executed for the benefit of LD III, LLC, as Beneficiary ("Beneficiary"), a certain Trust Deed ("Trust Deed") to secure the performance by Trustor of its obligations under a Promissory Note executed and delivered for valid consideration to LD III, LLC; which Trust Deed was recorded in the office of the Utah County Recorder, State of Utah, on April 1, 2008, as Entry No. 38186:2008, relating to and describing certain real property ("Property") described in Exhibit "A" attached hereto; and

Whereas, breach and default was made under the terms of the Trust Deed in the particulars set forth in the Notice of Default described below; and

Whereas, Bart J. Bailey was duly appointed by the Beneficiary as Successor Trustee by a Substitution of Trustee ("Substitution of Trustee") recorded in the office of the Utah County Recorder, State of Utah, on May 12, 2008, as Entry No. 55739:2008; and

Whereas, Bart J. Bailey, as Successor Trustee, executed a Notice of Default ("Notice of Default") containing an election to sell the Property, recorded the Notice of Default in the office of the Utah County Recorder, State of Utah, on May 12, 2008, as Entry No. 55740:2008, and mailed via US Postal Service Certified Mail, Return Receipt Requested, postage prepaid, not more than ten days after the recording of the Notice of Default, a copy of the recorded Notice of Default – together with a copy of the recorded Substitution of Trustee and a letter setting forth Bart J. Bailey's name, mailing address, bona fide office address, business hours and telephone number – to the parties to the Trust Deed; and

Whereas, Bart J. Bailey, as Successor Trustee, in consequence of the Notice of Default and in accordance with the Trust Deed, executed a Notice of Trustee's Sale ("Notice of Trustee's Sale") on November 7, 2008; which Notice of Trustee's Sale declared that the Property, described therein and below, would be sold a public auction to the highest bidder for lawful money of the United States, payable at the time of sale, declared therein to occur on December 19, 2008, at 10:00 a.m., at the Fourth Judicial District Court, Provo, Department, 125 North 100 West, Provo, Utah; which Notice of Trustee's Sale was published once a week for three consecutive weeks in a newspaper having a general circulation in the county in which the Property is situated, the last publication occurring not less than ten days and not more that thirty days before the date of the sale; which Notice of Trustee's Sale was posted in a conspicuous place on the Property and at the office of

the Utah County Recorder, State of Utah, in which county the Property is located, not less than twenty days before the date of the sale; and a copy of the Notice of Trustee's Sale was mailed via US Postal Service Certified Mail, Return Receipt Requested, postage prepaid, not less than twenty days before the date of sale, to the parties to the Trust Deed; and

Whereas, on December 19, 2008, at 10:00 a.m., at the Fourth Judicial District Court, Provo Department, 125 North 100 West, Provo, Utah – the time and place indicated in the Notice of Trustee's Sale – Bart J. Bailey did sell the Property at public auction to Grantee, it being the highest bidder therefore, for the sum of $9,778,437.79 paid by Grantee at the time of sale in lawful money of the United States, pursuant to the terms of the Notice of Trustee's Sale; subject to a Deed of Trust with Assignment of Leases and Rents, Security Agreement and Fixture Filing, dated January 26, 2007, and executed by The Preserve at Mapleton Development Company, LLC as Trustor, for the benefit of Magnetbank, recorded in the office of the Utah County Recorder, State of Utah, on February 1, 2007, as Entry No. 17012:2007; and

Whereas, all applicable statutory and contractual provisions have been complied with;

Now Therefore, Bart J. Bailey, as Successor Trustee, in consideration of the premises recited and the sum mentioned above, bid and paid by Grantee, the receipt of which is hereby acknowledged, hereby grants and conveys unto Grantee, without any covenant or warranty, express or implied, all of that certain Property situated in Utah County, State of Utah, described in Exhibit "A" attached hereto and incorporated herein, together with all buildings, fixtures and improvements thereon and all water rights, rights of way, easements, rents, issues, profits, income, tenements, hereditaments, privileges and appurtenances belonging to said Property.

Date: December 23, 2008

Bart J. Bailey, Successor Trustee

STATE OF UTAH)
: ss.
COUNTY OF UTAH)

The foregoing instrument was subscribed, sworn to and acknowledged before me this 23rd day of December, 2008.

KATHY VAN HOUTEN
NOTARY PUBLIC-STATE OF UTAH
251 W. RIVER PARK DR. #150
PROVO, UTAH 84604
COMM. EXP. 11-26-2009

Kathy Van Houten
Notary Public

EXHIBIT "A"

Parcel 1 - Commencing at the Southwest Corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence East 30 chains; thence North 10 chains; thence West 20 chains; thence South 5 chains; thence West 10 chains; thence South 5 chains to the place of beginning, lying North of the strip of land granted to the United States for right-of-way for the Mapleton Lateral Canal to the U. S. Reclamation Service as said canal passes through said land from West to East and as described in Book 182, Page 442 of Deeds records of Utah County.

Parcel 2 - Commencing 1 rod East and 40 rods North from the Southwest corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence East 39 rods; thence South 20 rods; thence West 39 rods; thence North 20 rods to the place of beginning, lying North of the strip of land granted to the United States for right-of-way for the Mapleton Lateral Canal to the U. S. Reclamation Service as said canal passes through said land from West to East and as described in Book 182, Page 442 of Deeds records of Utah County.

Parcel 3 - Commencing 20 chains South and 10 chains West from the Northeast Corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence South 10 chains; thence West 10 chains; thence North 9.75 chains; thence West 20 chains; thence North 0.25 chains; thence East 30 chains to the point of beginning.

Parcel 4 - Commencing 10 chains North of the Southwest Corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence East 30.5 rods; thence North 30 rods; thence West 30.5 rods; thence South 30 rods to the point of beginning.

LESS AND EXCEPTING THEREFROM that land described in that certain Warranty Deed recorded May 22, 1985 as Entry No. 14539 in Book 2219 at Page 678 in the Utah County Recorder's office.

ALSO LESS AND EXCEPTING THEREFROM that land described in that certain Warranty Deed recorded January 26, 1998 as Entry No. 7039 in Book 4502 at Page 112 in the Utah County Recorder's office.

Parcel 5 - Commencing 40 rods North and 80 rods East from the Southwest Corner of the Northwest Quarter of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; thence North 39 rods; thence West 49.5 rods; thence South 39 rods; thence East 49.5 rods to the place of beginning.

LESS AND EXCEPTING THEREFROM that land described in that certain Warranty Deed recorded May 22, 1985 as Entry No. 14539 in Book 2219 at Page 678 in the Utah County Recorder's office.

ALSO LESS AND EXCEPTING THEREFROM that land described in that certain Warranty Deed recorded January 26, 1998 as Entry No. 7039 in Book 4502 at Page 112 in the Utah County

Recorder's office.

Parcel 6 - Beginning at a point which lies North 0° 18' 56" West along the section line 981.444 feet and East 658.982 feet from the West One Quarter Corner of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian; and running thence North 86° 44' 49" East 48.66 feet; thence North 01° 54' 19" West 379.60 feet; thence South 88° 25' 44" West 46.43 feet; thence South 01° 34' 16" East 381.02 feet to the point of beginning.

Parcel 7 - A parcel of land being a portion of the Southeast 1/4 of Section 14, and Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian, Utah County, Utah, more particularly described as follows: Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 0.449 feet and East 0.013 feet (per a Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) to the real point of beginning; thence the following four (4) courses and distances along said Warranty Deed, (1) South 01° 43' 20" East a distance of 1336.41 feet; (2) thence South 89° 14' 04" West a distance of 1355.50 feet; (3) thence South 00° 46' 44" East a distance of 1338.33 feet; (4) thence South 00° 04' 49" West a distance of 2702.98 feet to the south line of Section 23; thence South 88° 54' 16" West along said south line, a distance of 1381.72 feet to a Brass Cap Monument marking the South 1/4 Corner of Section 23; thence North 00° 09' 53" East along the N-S mid section line, a distance of 1354.64 feet to a found iron pin, LS # 142870; thence South 89° 20' 38" West along the south line of the Northeast 1/4 of the Southeast 1/4 of Section 23, a distance of 1307.19 feet to a found iron pin LS # 142870; thence North 00° 01' 42" West along the west line of the Northeast 1/4 of the Southeast 1/4 of Section 23 a distance of 1331.47 feet to the south line of the Whiting Property as described in a Quit Claim Deed, Entry No. 35885-79; thence along said property the following two (2) courses and distances: (1) east a distance of 668.32 feet; (2) thence North 502.80 feet to the southerly line of the Mapleton Lateral Canal; thence along the southerly line of said Canal as follows, northeasterly 182.63 feet along the arc of a non-tangent 588.14-foot radius curve to the left, said curve having a central angle of 17° 47' 31" and subtended by a chord that bears North 48° 54' 34" East a distance of 181.90 feet to the curve's end; thence North 40° 00' 49" East a distance of 758.05 feet to a point of curvature of a 373.17 foot radius curve to the left; thence northeasterly 161.05 feet along the arc of said curve, having a central angle of 24° 43' 38" and subtended by a chord that bears North 27° 39' 00" East a distance of 159.80 feet to the curve's end; thence North 15° 16' 49" East a distance of 105.86 feet to a point of curvature of a 271.57-foot radius curve to the right; thence northeasterly 195.85 feet along the arc of said curve, having a central angle of 41° 19' 13" and subtended by a chord that bears North 35° 56' 26" East a distance of 191.63 feet to the curve's end; thence North 56° 36" 49" East a distance of 315.04 feet to a point of curvature of a 301.57-foot radius curve to the left; thence northeasterly 214.33 feet along the arc of said curve, having a central angle of 40° 43' 15" and subtended by a chord that bears North 36° 15' 11" East a distance of 209.85 feet to the curve's end; thence North 15° 52' 49" East a distance of 530.75 feet to a point of curvature of a 80.54-foot radius curve to the right; thence northeasterly 46.36 feet along the arc of said curve, having a central angle of 32° 58' 49" and subtended by a chord that bears North 32° 22' 14" East a distance of 45.72 feet to the curve's end; thence North 48° 52' 49" East a distance of 55.46 feet to a point of curvature of a 731.34-foot radius curve to the left; thence northeasterly 99.54 feet along the arc of said curve, having a central angle of 07° 47' 54" and subtended by a chord that bears North 44°

58' 52" East a distance of 99.46 feet to the curve's end; thence North 41° 04' 49" East a distance of 194.80 feet; thence leaving said Canal, North 88° 56' 07" East a distance of 62.82 feet; thence South 00° 26' 45" East a distance of 42.15 feet; thence North 89° 23' 48" East a distance of 212.15 feet; thence South 89° 27' 24" East a distance of 64.83 feet; thence North 00° 44' 56" West a distance of 21.24 feet; thence North 89° 05' 14" East a distance of 1342.19 feet to the real point of beginning. (Basis of Bearing is the Utah State Coordinate System, Central Zone or South 89° 18' 20" West along the North line of said Section 23.)

LESS AND EXCEPTING a parcel of land lying within the East 1/2 of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian, Utah County, Utah, more particularly described as follows: Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 2501.53 feet and West 1299.61 feet to the Grantor's East Property line, (as described in that certain Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825.79) which shall be the real point of beginning and running: thence South 00° 46' 44" East 191.06 feet; thence South 00° 04' 49" West 2702.98 feet; thence South 88° 54' 16" West 1381.72 feet; thence North 00° 09' 53" East 1217.72 feet; thence North 42° 48' 14" East 389.73 feet; thence North 38° 54' 40" East 370.46 feet; thence North 36° 00' 27" East 214.39 feet; thence North 37° 39' 42" East 263.40 feet; thence North 85° 12' 51" East 57.51 feet; thence North 25° 14' 50" East 236.19 feet; thence North 47° 01' 13" East 505.47 feet; thence North 18° 35' 25" East 174.22 feet; and thence North 31° 29' 29" East 21.60 feet to the real point of beginning. (Basis of Bearing is the Utah State Coordinate System, Central Zone of South 89° 18' 20" West along the North line of said Section 23.)

ALSO LESS AND EXCEPTING a parcel of land lying within the Northeast 1/4 of the Northeast 1/4 of Section 23, Township 8 South, Range 3 East, Salt Lake Base and Meridian, Utah County, Utah, more particularly described as follows: Commencing at a Brass Cap Monument marking the Northeast Corner of said Section 23; thence South 0.449 feet and East 0.013 feet (as described in that certain Warranty Deed from Orton to Deseret Title Holding Company, recorded as Entry No. 48825-79) to the real point of beginning and running; thence the following two (2) courses and distances along the boundary described by said Warranty Deed: South 01° 43' 20" East 1336.41 feet; and thence South 89° 14' 04" West 642.81 feet; thence along the following eleven (11) courses: North 25° 52' 40" East 350.67 feet; thence North 23° 13' 14" East 377.26 feet; thence North 59° 23' 26" East 86.38 feet; thence North 38° 10' 48" East 34.81 feet; thence North 02° 41' 47" West 83.17 feet; thence North 37° 19' 35" West 25.81 feet; thence South 84° 48' 35" West 86.43 feet; thence North 29° 54' 24" West 98.09 feet; thence North 42° 39' 03" East 275.80 feet; thence North 07° 57' 21" East 227.11 feet to the North line of Grantor's Property; and thence North 89° 05' 14" East 141.21 feet to the real point of beginning. (Basis of Bearing is the Utah State Coordinate system, Central Zone or South 89° 18' 20" West along the North line of said Section 23.)

ALSO LESS AND EXCEPTING any and all outstanding oil and gas, mining and mineral rights, etc., together with the right of the proprietor of a vein or lode to extract his ore therefrom should the same be found to penetrate of intersect the premises and the right of ingress and egress for the use of said rights.